The SAGE Handbook of

Organizational Institutionalism

2nd Edition

Edited by

Royston Greenwood,
Christine Oliver,
Thomas B. Lawrence
and Renate E. Meyer

The SAGE Handbook of Organizational Institutionalism

Institutional Theory is seen by many as *the* dominant theoretical perspective in organizational theory. *The SAGE Handbook of Organizational Institutionalism* brought together a wide coverage of aspects of Institutional Theory and an incredible array of top star academic contributors.

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Part II: Organizations and their Contexts
Part III: Institutional Processes
Part IV: Conversations
Part V: Consequences
Part VI: Reflections

'The first edition of the *Sage Handbook of Organizational Institutionalism* in 2008 signaled a reenergizing of institutional scholarship, integrating notions of multiplicity, power, agency, and practices into institutional thought. The new edition builds on these developments, but also shows that the creative energy of the field continues unabated. Among important and exciting new themes addressed from an institutional perspective in this completely revised edition are emotions, materiality and visuality, categories, inequality, sustainability and race. As organizational institutionalism continues to expand its reach and relevance, this volume is clearly a must have for any serious student of organization theory.'
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'There are several handbooks in management that are as comprehensive as this one, but absolutely none that I know of that approach the quality, rigour and insight of its scholarship. The authors and editors have my heartiest congratulations'
Danny Miller, Research Professor, HEC Montreal, Canada

'As the very impressive second edition of this Handbook makes evident, unlike its early emphases on stability and similarity, institutional theory keeps changing and taking on new areas of investigation, even acknowledging that other theoretical perspectives can inform it. The chapters in this volume consider previously unimaginable questions such as what might happen if the institutional environment isn't homogenous, and how institutional theory might learn from practice theory. This book is of great value both for institutional scholars and for other scholars who felt they have been cut off entirely from institutional approaches.'
Jean M. Bartunek, Robert A. & Evelyn J. Ferris Chair, Professor, Boston College, USA

‘This new edition updates a classic reference for all things institutionalist. Alongside theory essays and reflections from many of the field’s founders, it also includes fresh and fascinating chapters on how institutional forces shape inequality, organizational wrongdoing, and many other societal outcomes of consequence today. A valuable addition to your organizational-theory bookshelf!’
Forrest Briscoe, Associate Professor of Management and Sociology, PennState University, USA

‘The first *SAGE Handbook of Organizational Institutionalism* – the ‘green book’ – has been an essential reference even for those of us whose main research interests were not (yet) in institutional theory. So many of its chapters have become landmarks in their lines of inquiry, or opened entirely new ones. The new edition is all of this again, and even more. A must read for scholars interested in institutional processes and those who are not (yet).’
Davide Ravasi, Professor of Strategic and Entrepreneurial Management, Cass Business School, UK

‘Almost immediately after the first edition of the *Handbook* came out, it was colloquially dubbed the *Green Bible of Institutionalism* by many of its readers. Big news: the New Testament just came out. It is awesome! The first edition of the Handbook was an instant classic, a feat that is hard to top. But the editors and contributors to the second edition have done it again. This is without a doubt the book that will set the agenda for the fourth decade of organizational institutionalism.’
Pursey Heugens, Professor of Organization Theory, RSM Erasmus University, the Netherlands

‘The second edition of this Handbook remains “must-reading” for any organization and management scholar. It provides a timely and comprehensive update of institutional theory and its relationships with other organization theories.’
Andrew H. Van de Ven, Vernon Heath Professor of Organizational Innovation and Change, Carlson School of Management, University of Minnesota

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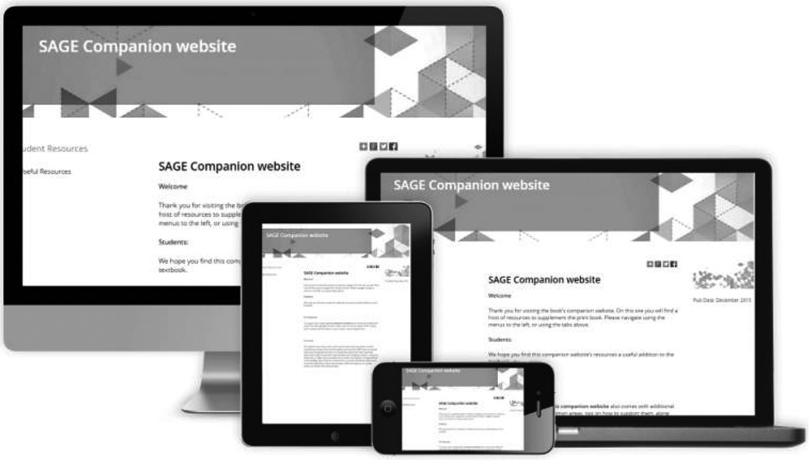
Companion Website

The second edition of *The SAGE Handbook of Organizational Institutionalism* is supported by a companion website, which can be accessed at https://study.sagepub.com/orginstitutionalism2e



Visit the companion website to find fundamental chapters from the first edition and selected content from the second edition.

Introduction: Into the Fourth Decade

Royston Greenwood, Christine Oliver,
Thomas B. Lawrence and Renate E. Meyer

The first edition of this *Handbook* appeared in 2008.[1] Its contents and introductory chapter covered the evolution of institutional thinking from 1977 up to that date. In the introductory chapter of the second edition, we will not repeat nor reinterpret these three decades, but rather expand on what we see as important directions and developments in institutional theory since then and suggest what we regard as the most promising future research avenues.

Most of the themes identified in the first edition continued to be elaborated into the fourth decade, and the foundational concepts, notably legitimacy (see Deephouse, Bundy, Tost, & Suchman, Chapter 1) and organizational field (see Wooten & Hoffman, Chapter 2), remained core components of conceptual and empirical work. Both these chapters show the continuing elaboration and centrality of these concepts. However, in mapping the developments of this fourth decade, we find two overarching yet interrelated themes (which form Parts II and III) to have become particularly central during the post-2008 era: first, a renewed interest in the complexity of relationships between organizations and their institutional context; and, second, a focus on processes and practices through which institutions are created, enacted, or altered, or through which they erode and are eventually deinstitutionalized. Running through both themes are conversations around the concepts of institutional logics and institutional work and related theorizing on the nature of agency within institutional theorizing. In addition, this fourth decade saw the emergence of several new conversations that elaborated and deepened institutional theorizing. Much is going on in the big 'institutional tent'!

However, if there is one area that distinguishes research over the last decade from earlier trends and that promises to redirect institutional scholarship, it is the attention being given to outcomes and consequences of institutions. Whereas earlier work directly or indirectly regarded the primary consequence of institutional processes rather abstractly as the accomplishment of legitimacy or the associated implications of field-level isomorphism, today concrete and significant societal outcomes – such as racial discrimination, inequality, organizational corruption, or environmental sustainability – are vying for centre stage.

ORGANIZATIONS AND THEIR CONTEXTS

In the last decade, scholarly interest in the relationship between organizations and their institutional context has taken three primary routes: one elaborates the nature of contextual features such as field-level governance structures, forms of community, and globalized contexts; a second gives emphasis to patterns of compliance – especially non-compliance – and the play of 'legitimacy management'; the third, and lesser developed, focuses upon the world of legitimacy conveyors and upon how legitimacy judgements *per se* are socially constructed.

Field-Level Features and Governance

One way in which features of the context are addressed is through field-level infrastructures and governance arrangement. Such aspects have figured to a greater or lesser degree throughout the development of institutional theorizing (see Hinings, Logue & Zietsma, Chapter 6; Aldrich & Fiol, 1994), but it is only recently that they have received more explicit and systematic treatment. An important contribution is Lampel and Meyer's (2008) notion of 'field-configuring events' (FCEs). The term embraces events and actors such as trade shows, tournaments, festivals, ceremonies and rituals, accreditation exercises, rankings, and conferences, which collectively represent 'an important and understudied mechanism shaping the emergence and developmental trajectories of technologies, markets, industries, and professions' (Lampel & Meyer, 2008: 1025). FCEs are not an entirely new idea – they are found in earlier studies – but Lampel and Meyer correctly suggest that giving more focus to FCEs should enhance our understanding of field dynamics because they are integral to 'the growth and evolution of institutional, organizational, and professional fields' (2008: 1025).

As Hinings et al. (Chapter 6) point out, the need to understand the nature and outcomes of FCEs for field structuration has, over the past few years, become more fully appreciated and various forms of FCEs have been studied (e.g., Garud, 2008; Hardy & Maguire, 2010; Moeran & Pedersen, 2011). They are recognized as important vehicles of field-level institutional governance that can profoundly shape how fields emerge, evolve, are displaced or sustained. They are also fundamental to how interests and privileges are asserted and concealed (Amis, Munir, & Mair, Chapter 27; Palmer, Chapter 28).

Nonetheless, questions remain. Schüssler, Rüling and Wittneben (2014), for example, argue that the role of FCEs in field structuration varies according to the relative maturity of the field. At the early moments of field evolution, these authors suggest, FCEs provide the basis for trust and openness and hence can assist change. As fields mature, FCEs become less open because powerful actors enter the discourse – and thus FCEs *prevent* change. We also have much to learn about less obvious FCEs. Although they do not use the term, Vaccaro and Palazzo's (2015) study of resistance to the mafia highlights a very different type of FCE. In their case it was not formal conferences but more clandestine meetings in places such as school buildings and activists' houses that provided the opportunity for normative changes that undermined deeply institutionalized arrangements. This study reminds us that not all FCEs are highly visible. We need to cast our net wider. Overall, however, whilst accepting that we have much yet to do in order to fully understand the range and roles of FCEs, Hinings et al. (Chapter 6) conclude that progress is promising and encouraging.

Emphasis upon FCEs illustrates how institutional theory has homed in on the organizational field as the level at which sociocultural pressures are particularly evident. The overwhelming majority of studies now take for granted that the organizational field or environment is the appropriate level of analysis (see Wooten & Hoffman, Chapter 2). The concept of field originally developed because of dissatisfaction with the term 'industry', which neglects the role of agencies such as professional and trade associations, regulators, the media and the state. Recognizing and empirically focusing upon the field was, and remains, a crucially important and distinctive feature of institutional theorizing. Nevertheless, the concept of organizational field may have been considered unduly narrowly, and although it has proved, and will continue to be, a useful level of analysis, it may have become too abstract and thus divorced from the sociopolitical community within which institutional and organizational processes occur. Other levels of analysis have been much less considered. As Greenwood, Diaz, Li and Lorente (2010: 15) put it:

> Analytical abstraction, intended to better capture contextual influences, has resulted in a relative blindness to how communities (regions) and their interaction with state logics affect organizations. The relationship between communities and organizations, informed through an ideology of the state, was integral to early institutional work (e.g., Selznick, 1949), but that focus has largely disappeared. A return to the traditional emphasis on community would be timely.

Encouragingly, however, studies have begun to acknowledge that organizations are also located within communities and that these communities may influence the particular expression of rationalized myths and institutional logics to which organizations have to respond (Almandoz, Marquis, & Cheely, Chapter 7; Marquis, 2003; Marquis, Glynn, & Davis, 2007; Marquis & Lounsbury, 2007). Illustrations of the significance of community are provided by Baum-Snow and Pavan (2013), who show how geography affects income inequality, Allard and Small (2013), who connect community to social disadvantage, or Peredo and Chrisman (2006), who link community to the formation of social enterprises, Marquis (2003), who traces the connections between organizations and cultural associations within a bounded geographical setting, and Greenwood et al. (2010), who demonstrate how connections between organizations and local political elites influence decisions on the utilization of human resources.

Höllerer, Walgenbach and Drori (Chapter 8) employ yet another lens to explore the relationship of organizations and their contexts by asking how the increasingly globalized world (see also Meyer, Chapter 32; and Scott, Chapter 33) impacts organizations, their features, forms, practices, and the available building blocks for their management and governance. These authors argue that organizations display different degrees of global (versus local) orientation and that their responses and compliance mechanisms are shaped by the degree to which they are globally oriented. They then go further, suggesting that understanding the co-constitutive interplay between the local and the global is necessary to understand processes and dynamics in and across organizations, communities, fields, and the global world society; and that this interplay has important consequences for central institutional concepts such as legitimation, translation, or the question of how plurality unfolds and organizations respond. Scott (Chapter 33: 862) sees the institutional study of the transnational realm as 'arguably one of the most vibrant areas of institutional theorizing and research'.

Patterns of Compliance

Ever since Oliver (1991) introduced the idea of 'strategic responses' to institutional pressures there has been general acceptance that organizations are not 'passive receptors of legitimate ideas' (Gondo & Amis, 2013: 229). On the contrary, 'shades of rogueness' (Quirke, 2013: 1692) are accepted as part and parcel of all institutional contexts. In consequence, understanding why particular organizations engage in different patterns or forms of conformity, and how they do so, has become a rich focus for research. Moreover, recent accounts avoid the top-down imagery of earlier work, and the overly agentic bottom-up accounts that followed. Legitimacy management is very much seen as a complex process of reciprocal social construction (Boxenbaum & Jonsson, Chapter 3). Wedlin and Sahlin (Chapter 4: 103) carefully elaborate and remind us that the Scandinavian approach to diffusion always emphasized that ideas and practices 'do not remain unchanged as they flow but are subject to translation. […] To imitate, then, is not just to copy but also to change and to innovate'. This approach is much more appreciated now than earlier and has spurred many studies on such 'translations'.

Various patterns of compliance or non-compliance continue to be elaborated. Boxenbaum and Jonsson (Chapter 3) indicate and review the continuing interest in decoupling – the strategy identified by Meyer and Rowan (1977) as a response to inconsistencies between technical and institutional demands. This distinction is much less assumed today, in that assumptions of technical prerequisites are more usually seen as institutional; but the idea of inconsistent institutional prescriptions remains of interest and has, in the fourth decade, triggered much research into institutional complexity (Greenwood, Raynard, Kodeih, Micelotta, & Lounsbury, 2011). In this volume, such complexity is particularly elaborated in the study of 'global' and 'local' dynamics (see Höllerer et al., Chapter 8) or 'hybrid' organizations (see Battilana, Besharov, & Mitzinneck, Chapter 5) – on which we say more later.

Before leaving decoupling, it is worth noting the disturbing study by Whitman and Cooper (2016), whose fieldwork revealed the connection between decoupling and systematic corporate social irresponsibility. These authors analysed how decoupling enabled an international firm 'to achieve certification for socially responsible corporate behavior alongside allegations of rape and irresponsible practices' (p. 116). As the acting editor for the paper commented, 'The paper […] is not for the faint of heart' (p. 115). For us, it is an exemplar of the shift within institutional theory towards problems that matter.

In studying patterns of compliance, the focus has shifted away from identification of responses *per se* (in the Oliver tradition), in favour of identifying the attributes or circumstances that shape responses to particular institutional expectations (Deephouse et al., Chapter 1). An established example of this interest concerns new ventures. Because these organizations lack legitimacy their responses to institutional expectations are geared towards attaining legitimacy by closely following established practices, or by attaching themselves in some way to high status actors (e.g., see David, Sine, & Serra, Chapter 25). Another, complementary stream of research explores how organizations that have suffered loss of legitimacy that arose from an association with other organizations, might seek to *regain* legitimacy either for themselves (e.g., Jonsson, Greve, & Fujiwara-Greve, 2009) or their industry (e.g., Desai, 2011).

Other studies have probed the filtering attribute of status, suggesting that middle-status organizations are less likely to deviate from institutional prescriptions as compared to high- and low-status organizations, because high status protects from social penalties, and low status renders them less relevant (Phillips & Zuckerman, 2001). A rather different take is offered by Compagni, Mele and Ravasi (2015) who show that central and peripheral organizations within a field might have very different reasons for adopting an innovation: central players may see an innovation as a threat and adopt it in order to preserve their status, whereas peripheral players might see adoption as an opportunity by which to improve their status.

A very different attribute that defines an organization and shapes its responses, and that is attracting considerable scrutiny, is ‘stigma’. ‘Stigmatized’ organizations violate broader social norms (Ashforth, Kreiner, Clark, & Fugate, 2007; Devers, Dewett, Mishina, & Belsito, 2009; Hudson, 2008) and not only lack legitimacy – they are positively *ill*egitimate and vilified. Yet, some are capable of ‘seemingly cheating their fates’ (Hampel & Tracey, 2016: 2). How these organizations are able to do so is capturing much interest. Answers put forward include ‘opacity’ (e.g., Briscoe & Murphy, 2012), various forms of ‘concealment’ (e.g., Hudson & Okhuysen, 2009; Vergne, 2012), ‘substitution’ (Okhmatovskiy & David, 2012), ‘dilution’ (Carberry & King, 2012; Sharkey, 2014), ‘distraction’ (Grougiou, Dedoulis, & Leventis, 2016), ‘asset divestment’ (Durand & Vergne, 2015), or, paradoxically, even the deliberate ‘use’ of that stigma (Helms & Patterson, 2014; Tracey & Phillips, 2016). Put more simply, organizations respond to being stigmatized in one of three ways – they use it, lose it, or conceal it.

The fact that stigmatized firms can survive underlines that legitimacy processes involve multiple audiences that confer or deny legitimacy and that these audiences (or ‘sources’ to use Deephouse et al.’s term, Chapter 1) often differ in their social evaluations. As such, and as emphasized by Hudson and Okhuysen (2009), recent studies – notably those focused upon ‘hybrid organizations (see Battilana et al., Chapter 5) qualify and question the widely accepted definition of organizational legitimacy as a ‘*generalized* perception or assumption that the actions of an entity are desirable, proper, or appropriate’ (Suchman, 1995: 574, emphasis added). Instead, legitimacy is a more complex interaction between organizations and their several audiences.

The Social Construction of Legitimacy Judgments

For the most part, studies of the legitimacy process assume the presence of social standards or criteria against which organizations and their behaviours can be assessed. In this portrayal, various legitimating agents – such as regulators, ‘intermediaries’ (e.g., analysts), field-level ‘collective actors’ (e.g., industry and professional associations, accreditation agencies), or the media – convey, monitor and enforce social expectations of appropriate conduct. As Deephouse et al. (Chapter 1) observe, much has been learned about the role of these actors in stabilizing institutional arrangements.

Two especially compelling recent contributions to understanding of these processes are the attention given to categories (Durand & Boulongne, Chapter 24), and, even more recently, the role of emotions in expressing and enforcing institutional judgments (Lok, Creed, DeJordy, & Voronov, Chapter 22). For us, these elaborations have reinvigorated interest in the legitimation process, the first by providing a language through which to better capture the process, and the latter by identifying a previously missing yet profound dimension (on which more below).

However, Bitektine and Haack (2015) turn the spotlight upon our relatively modest understanding of the networks and relationships that connect these ‘legitimacy evaluators’ and our lack of insight into the means by which legitimacy standards and judgments are themselves socially constructed and policed *within* the world of this community. In other words, although our appreciation of field-level governance mechanisms is growing both in scope and sophistication (Hinings et al., Chapter 6), and although the influence of these field-level actors and their often ‘soft’ governance for institutional stabilization and change is being recognized (Wedlin & Sahlin, Chapter 4), we need to probe much more inside their world in order to gain a better understanding of their working and consequences. Moreover, given – as we noted above – that the institutional context is not homogeneous, we suggest that understanding how the several worlds of social endorsement come together to socially construct institutional prescriptions and proscriptions, is an intriguing and important direction of future research.

INSTITUTIONAL PROCESSES

As we noted in the first edition, from the mid-1980s and through the 1990s there was considerable interest in showing patterns of diffusion, which were seen as indicators of institutional effects – especially of institutional isomorphism. That purpose – to 'prove' the institutional thesis by showing isomorphic tendencies under conditions of uncertainty – no longer holds, but interest in patterns of diffusion remains. So, too, does interest in a second process – institutional entrepreneurship – that was precipitated by DiMaggio's (1988) challenge for an explanation of institutional change.

Diffusion and Isomorphism

A core question of the institutional perspective concerns whether and to what extent organizations adopt similar structures and forms because they adapt 'to what they believe society expects of them'. The institutional explanation is that organizations become similar 'not through adaptation to an externally or technically demanding environment or through the "weeding out" of technical and social misfits, but through adaptation to a socially constructed environment' (Boxenbaum and Jonsson, Chapter 3: 81). Given its early centrality to institutional accounts, it is not surprising that this theme has attracted '[v]oluminous research' which Boxenbaum and Jonsson interrogate around five questions: In what respect are organizations supposed to be similar? Does similarity result from mechanisms of diffusion? What is the relevant environment to which organizations are thought to become (or not to become) isomorphic? How does isomorphism occur where the institutional environment is not homogeneous? How can we account for dissimilarity?

What is notable from their review is that, although our understanding of these issues has significantly advanced, there are still many gaps and confusions. More recent research has begun to address what happens after adoption – to the practices that diffuse (e.g., Ansari, Fiss, & Zajac, 2010; Gehman, Trevino, & Garud, 2013) or the organizations (e.g., Weber, Davis, & Lounsbury, 2009), or how the adoption of practices influences future decisions depending on whether the practices enact the same or competing institutional logics (Meyer & Höllerer, 2016; Shipilov, Greve, & Rowley, 2010). There is, too, growing interest in how 'controversial or counter-normative' practices diffuse (or not). Nevertheless, Boxenbaum and Jonsson identify several additional areas that call for further work. But in doing so they raise a cautionary note, asking 'whether isomorphism still has a place as a distinct empirical concept'. They think that it does but point out that it requires much more careful theorizing in order to remove the current 'conceptual muddle' (Colyvas & Jonsson, 2011: 27). Time will tell!

Boxenbaum and Jonsson (2017: 93) make a more general and challenging point about the expansive nature of institutional theorizing. Noting that isomorphism and decoupling were initially put forward as related propositions, but have been treated as separate constructs, these authors criticize how theory develops by expansion and in doing so loses some rigour: 'Instead of focusing on how core concepts relate to each other, researchers tend to extend and enrich each separate line of inquiry'. Food for thought …

Wedlin and Sahlin (Chapter 4) present an overview of the Scandinavian variant of institutional theorizing. They highlight how that approach has always emphasized that ideas are translated and edited as they diffuse and are adopted. They also observe that studies of ‘what’ diffuses are now more likely to focus upon ‘soft’ regulations such as standards, evaluations and audits (we in the university world can certainly verify this shift in our world!), often spreading on a global level (Meyer, Chapter 32). But Wedlin and Sahlin suggest that in the last decade there has been more interest in *how* ideas are carried. Early studies pointed to the importance of direct linkages – e.g., interlocking directorates – as vehicles by which organizations ‘learn’ about circulating ideas. The implication is that organizations to which an organization is directly connected act as models to be followed. Other studies pointed to cultural linkages – i.e., to the category with which an organization identifies – implying that organizations within that category are the appropriate models. Wedlin and Sahlin (see also, Glynn, Chapter 9) suggest that it is ‘identification’ and identity that are often found to be a key mechanism of imitation: organizations imitate ‘those one relates to and those with whom one identifies’ (p. 107).

Similarly, there is renewed interest in the range of institutional ‘carriers’. Wedlin and Sahlin (Chapter 4) and Höllerer, Walgenbach and Drori (Chapter 8) provide insights into the role of ‘carriers’ in the translation of globally spreading forms and practices. Bringing some order to the study of how ideas diffuse, Scott (2014: 58) identifies four types of carriers – symbolic, relational, routines, and artifacts – and suggests that each varies in the processes employed ‘to transmit their messages’ (Scott, 2014: 58). But for the Scandinavian approach it is not only the range of carriers that matters – also being sought is understanding of how and why different carriers affect how particular kinds of prescriptions and expectations are received and translated, the extent to which diffusing ideas generate contestation between carriers and promoters, and how those interpretive processes affect the subsequent deployment and practice usage.

Institutional Entrepreneurship and Change

Given the considerable effort devoted to understanding how and why institutional change occurs, it is not surprising that we are much more informed about from where and under what circumstances initiatives arise that prompt institutional disruption (Hardy & Maguire, Chapter 10). We have learned that it may follow from external ‘jolts’, the presence of endogenous contradictions, or through the incremental adjustments and improvisations that occur in the performance of day-to-day activities. We are also better informed about how new ideas are ‘theorized’, ‘translated’, or ‘framed’ so as to gain social endorsement and support. Insights from social movement theory continue to provide significant guidance (Schneiberg & Lounsbury, Chapter 11); more recently, so, too, has practice theory (Smets, Aristidou, & Whittington, Chapter 14) and identity theory (Glynn, Chapter 9).

Nevertheless, questions remain. Zietsma and Lawrence (2010: 190) conclude that studies that focus upon an organization’s position within a field (e.g., whether ‘central’ or ‘peripheral’) as a predictor of the organization’s openness to change ‘have generated as many puzzles as answers’. Similarly, undue attention has been given to the discursive rather than the behavioral strategies deployed in the theorizing and mobilizing of change efforts (Phillips & Malhotra, Chapter 15). In comparison, the ‘non-discursive dimension’ of mobilization ‘remains the subject of scant research’ (Battilana, Leca, & Boxenbaum, 2009: 86).

A different and critical question raised by Hardy and Maguire (Chapter 10), is whether analyses of institutional change are too centred around the ‘paradox of embedded agency’ (Holm, 1995) – i.e., the conundrum of how actors embedded within an institutionalized setting are able to reflect upon existing arrangements and perceive alternatives (which implies that they are located in a peripheral position within the field), and yet have the ability to marshal resources to accomplish fundamental change (which implies the opposite). Hardy and Maguire observe 'two different narratives […] one that is more actor-centric and focuses on the deliberate strategies of particular institutional entrepreneurs and another that is more process-centric and emphasizes the struggles associated with institutional entrepreneurship activities' (p. 273). Process studies, they note, have increased in recent years, and complement (some would say contradict) actor-centric accounts, which 'tend to be functionalist, painting a neat picture of relatively rational, linear, win–win problem solving activity' (p. 274).

A similar point has been pushed by other scholars (e.g., Hwang & Colyvas, 2011; Meyer, 2008; Powell & Colyvas, 2008). In his 'strategic action fields' approach, Fligstein (2013), for example, criticizes institutional accounts for their failure to properly acknowledge that even mature fields experience ongoing political struggles to sustain or alter patterns of interest and privilege (although see Scott, Chapter 33). A related but distinctive contribution to this debate is provided by Lawrence, Suddaby and Leca (2009), who, though giving less attention to political struggles, emphasize the importance of 'institutional work' as actors 'knowingly' seek to 'create, maintain, and disrupt the practices that are considered legitimate within a field (practice work) and the boundaries between sets of individuals and groups (boundary work), and the interplay of these two forms of institutional work' (Zietsma & Lawrence, 2010: 189). Despite the growing understanding of how change occurs, and of the roles of various actors and events, questions remain. Few studies analyse failed efforts to change institutions. We also have limited understanding of how fields vary – the distinction between emerging and mature fields has been acknowledged, but there is little research, for example, on mature fields that lack a dominant logic. Nor do we have comparisons of different types of fields – such as highly professional fields with non-professional ones – or studies that compare fields that exhibit very different rhythms and sequences of change. Several years ago, Scott commented that 'although we have made headway in recent years […] we have much yet to learn' (2010: 11). We still do.

The Microfoundations of Institutions

DiMaggio and Powell (1991) pointed out that we know very little about how institutional prescriptions affect and are affected by individuals. Powell and Colyvas (2008) re-emphasized the point, recommending that more effort be given to uncovering the microfoundations of institutional processes. Although there has always been some kind of microfoundation for institutional research, the nature of those foundations has too often been left implicit in our work. In this volume, Powell and Rerup (Chapter 12) revisit this theme and stress that 'institutions are sustained, altered and extinguished as they are enacted by collections of individuals in everyday situations' (p. 311) often 'born out of chance and naivete' (p. 332). This imagery contrasts with the more organized agency typically underpinning, for example, social movement accounts of institutional change. In their chapter, Powell and Rerup point to several literatures that speak to and inform analyses of micro-processes – including 'practice theory', the Carnegie school, sensemaking, and ethnography. All of these, Powell and Rerup show, have significant potential to uncover how individuals connect to broader, more macro, institutional processes, and to enrich our theorizing about stability and change.

At the core of institutional conceptions of social reality is the notion of meaning (see Zilber, Chapter 16). Although institutions have long been argued to represent particularly meaningful social structures and practices (Selznick, 1957), the degree to which meaning and meaningfulness have been a part of institutional studies of organizations has varied tremendously. As Zilber (Chapter 16) forcefully argues, attention to meaning has ebbed and flowed in institutional studies, playing a central role in early work, and then moving to the margins until it was picked up again in the 1990s and developed more explicitly as institutional scholars began to incorporate linguistic methods and theories. The role of language in conceptualizing and investigating institutions has flourished since the mid 2000s with scholars explicitly employing discursive, narrative, rhetorical and semiotic lenses (see Phillips and Malhotra, Chapter 15, and Jones, Meyer, Jancsary, & Höllerer, Chapter 23). Phillips and Malhotra tie this linguistic turn to recognition of the centrality of cognitive institutions, and argue, perhaps provocatively, for a separation of cognitive conceptions of institutions from what they suggest are less usefully understood as institutional normative and regulative pillars. Jones et al. (Chapter 23) challenge this exclusive linguistic focus with its cognitive preoccupation and argue for the inclusion of other semiotic modes of meaning construction.

'Practice theory' (Smets et al., Chapter 14) and the practice level of analysis have become particularly prominent in the study of microfoundations. The concept of a practice describes an 'embodied, materially mediated array[s] of human activity centrally organized around shared practical understanding' (Schatzki, 2001: 11). In their chapter, Smets et al. point to the shared heritage of institutional theory and practice theory, but conclude that although ideas from the latter have recently received 'more attention', they have done so 'often in a more colloquial and unreflexive way to black box what people "do" without embracing the onto-epistomological assumptions underpinning practice theory' (p. 367). They elaborate how the practice approach could contribute more 'granularity' to current research themes, including questions of where and how change occurs, the nature of institutional work, the construction of institutional complexity, the role of practitioners as 'carriers' of ideas, and the play of emotions. The engagement of institutional and practice ideas holds much promise – maybe, at last, our declared interest in the microfoundations of institutional processes will resonate empirically and theoretically.

Wedlin and Sahlin (Chapter 4) recognize the similarity between Scandinavian institutionalism and recent 'practice' accounts of change and maintenance – especially the emphasis upon distributed improvisation and upon the 'mundane acts of translation performed by many' (p. 119). A difference between the two approaches is that practice theory does not foreground imitation as a driving mechanism – instead, improvisation arises from day-to-day, ongoing tasks. Both perspectives, however, spotlight the actual doing of work as the source of institutional adaptation and change.

Another lens by which to study micro-level institutional processes is provided by social network analysis. Powell and Oberg (Chapter 17) show how relational and institutional analyses can be brought together to offer deeper insights into how institutional patterns emerge, are maintained or changed. They start by reminding us that the classical notion of fields builds on inter-organizational networks and structural equivalence and highlight how differences in the relational positioning impact innovativeness, speed of adoption, environmental complexity and the legitimacy of an organization. An emerging and very promising area analyses how the meaning of ideas, concepts, constructs, etc. is constructed through their relationship to other ideas, concepts, and constructs. Such semantic network analyses may not only offer new and more fine-grained insights into diffusion and translation (see below), they make visible the relational core of institutions as a typification of actor and action (Berger & Luckmann, 1967) and offer a way to study how systems of categories are formed and constitute the building blocks of sedimented social knowledge. Finally, Powell and Oberg break new ground by illustrating how interlocked, multi-level networks are able to bring together relational ties among social entities and semantic meaning structures. Apart from a novel way of studying the structuration of organizational fields or the dynamics of issue fields, a multilevel network approach has the potential to study interactions among fields.

An issue that runs through all of these process-focused accounts of institutions, although it is often well below the surface, is the role of power. The relationship between power and institutions is, as Lawrence and Buchanan (Chapter 18) claim, 'an intimate one', but it is also a complex relationship. The intimacy of power and institutions is rooted in their mutual interdependence, with institutions existentially dependent on the degree to which they exert influence over the thoughts, feelings and behaviours of people and organizations; at the same time, recent writing on institutions as inhabited and the objects of institutional work demonstrate the ways in which institutions exist (are created, maintained and transformed) by courtesy of the politics of those same people and organizations. The importance of this relationship – between power and institutions – is, unfortunately, not very well reflected in our literature and there remains a striking ambivalence about incorporating power in institutional analyses. While studies of institutional entrepreneurship and institutional work have highlighted the politics of institutional change and stability, there has remained in our descriptions of institutions a metaphysical quality that seeks to detach them from the prosaic politics of organizations and communities. At the core of this ambivalence sits the contested ontology of institutions: whether they exist strictly as taken-for-granted cognitive structures, as eloquently argued by Phillips and Malhotra (Chapter 15) and initially laid out by Meyer and Rowan (1977), or include non-cognitive mechanisms of social control, as suggested by Berger and Luckmann (1967) and Jepperson (1991) and implicit in much of the agency-focused writing on institutions (see also, Scott, Chapter 33). Both articulations represent important possibilities and so the challenge of squaring that particular institutional circle remains.

CONVERSATIONS

Institutional Logics and Hybrid Organizations

Precipitated in part by the overview and elaboration provided by Thornton, Ocasio and Lounsbury (2012), 'institutional logic' has become one of the key terms in the institutional vocabulary. Research using the term has 'exploded' in recent years (Ocasio, Thornton, & Lounsbury, Chapter 19). It provides a vehicle by which to define and explain institutional change and stability both at the level of the field and the organization. It connects to 'categories' (Durand & Boulongne, Chapter 24), which can be conceived as the cognitive building blocks of logics, and to both geographical and relational communities (Almandoz et al., Chapter 7), and, significantly, it defines institutional 'identity', which, for many theorists, has become an essential part of the institutional story (Glynn, Chapter 9). Further, it speaks to the macro–micro interface of institutional processes (Powell & Rerup, Chapter 12) and also raises the issue of how organizations cope when faced with 'institutional pluralism' (Kraatz & Block, Chapter 20). Today, such organizations are often referred to as 'hybrids' (Battilana et al., Chapter 5).

The idea that organizations might experience more than one set of institutional pressures is not new – D'Aunno, Sutton, & Price (1991), for example, referred to 'hybrid units' that face conflicting pressure 'from two sectors'. But interest in such arrangements languished until 'hybrids' were re-introduced by Battilana and Dorado (2010) and Pache and Santos (2010), who shared an interest in organizations that combine commercial with non-commercial goals (commonly referred to as 'social enterprises'). Today, understanding how organizations cope with multiple logics is a priority in institutional research because scholars acknowledge that such pluralism is rather the norm than the exception. Institutional theorists are not alone in recognizing that organizations are often challenged to cope with competing demands and expectations (a point emphasized by Battilana et al., Chapter 5; see also, Battilana & Lee, 2014). For us, however, studies of hybrid organizations represent a welcome return of attention within the institutional literature to the organization, thus countering the previous preoccupation with field-level processes.

According to Battilana et al. (Chapter 5) the focus of research has shifted in the last few years. One perspective (illustrated by Pache and Santos, 2013) essentially portrays individuals and groups within organizations as 'representatives' or 'carriers' of a particular logic and as committed to defending and promoting the practices associated with it. The imagery is of actors advancing 'their' logic. In this perspective, the use of discretion is relatively modest because actors find it difficult to overcome their existing preconceptions. An alternative perspective portrays actors as drawing upon different logics according to the situation at hand. Actors 'use logics strategically' (McPherson & Sauder, 2013: 182). In this perspective, the use of discretion is higher with logics used as 'cultural tool kits' (Swidler, 1986).

The distinction between actors as either 'representatives' or 'strategic users' of logics is probably better conceptualized as a continuum of embedded discretion; moreover, the position of one actor along that continuum is likely to vary across situations and over time. Many of the difficulties faced by 'nascent hybrids' in the early years of their founding, for example, may be very different from the challenges of sustaining an established hybrid organization. Introducing a new logic into a mature hybrid, or, removing one, are also very different settings and thus different mechanisms can be anticipated. Perhaps the most important question that should receive attention is whether multi-logic organizations *do* provide more innovative solutions to big and wicked problems. As Smets, Jarzabkowski, Burke and Spee (2015: 933) remind us: 'we know surprisingly little about how such benefits are reaped'. There is much yet to uncover.

Institutional Work

Around the time of the first edition of this *Handbook* a vibrant conversation within organizational institutionalism emerged that focused on the work of actors to shape the institutions around them. The concept of institutional work, introduced by Lawrence and Suddaby (2006) as an umbrella under which stood notions of institutional entrepreneurship, deinstitutionalization and institutional maintenance, has evolved into a distinct perspective in which the relationship between agency, experience and institutions sits at its core. Since then, the institutional work perspective has generated a significant body of research that explores how, why, and when actors work to shape sets of institutions, the factors that affect their ability to do so, and the experience of these efforts for those involved (Hampel, Lawrence, & Tracey, Chapter 21).

Along with a synthesis of research on the work done to create, transform and disrupt institutions, the institutional work perspective pointed to a lack of understanding of the role of agency in institutional persistence. Rather than assume that institutions were inherently enduring, as perhaps suggested by some definitions, Lawrence and Suddaby (2006) argued for the investigation of how actors might be working to maintain institutions. As Scott (2010: 10) observed, 'Many ideas, schema, and prescriptions are proposed, but only a relatively small subset survive […] to become institutionalized. What are the forces that provide the coherence and stability – the glue – to some practices rather than others?' In response, there has been a stirring of interest in the work done to maintain institutions, sometimes in the face of active resistance.

Dacin, Munir and Tracey (2010), for example, show how seemingly incidental and repetitive practices – in their study, high table dining practices at a University of Cambridge college – can significantly contribute to the maintenance of a complex, societal institution, such as the British class system. Lok and DeRond (2013) and Heaphy (2013) go further, distinguishing various ways by which minor breakdowns – 'breaches' – at the practice level are redressed and in doing so repair and reproduce existing arrangements. Micelotta and Washington (2013) provide a more macro lens in their account of how Italian law firms maintained their institutionalized privileges in the face of disruption from international competition. Vaccaro and Palazzo (2015), in their analysis of change in societies dominated by organized crime, remind us that not all maintenance activities are quite so low-key.

Because a central concern of all institutional research is the persistence of social beliefs and arrangements, research on institutional maintenance may be one of the most important areas for further development. Institutional maintenance also possesses the potential to shed new light on taken-for-granted understandings that defy change by their social invisibility. Many of these understandings may also have their roots in deep structures of power that preconsciously reinforce the status quo.

The institutional work perspective did not develop in isolation of other, allied sets of concerns. It represents a part of a broader wave of interest in organizational institutionalism's 'people' problem, a wave that includes writing on 'inhabited institutions' (Hallett & Ventresca, 2006), microfoundations of institutions (Powell & Rerup, Chapter 12) and Barley's (Chapter 13) notion of 'coalface' institutionalism. Hallett and Ventresca's (2006: 213) important understanding of institutions as inhabited – 'populated with people whose social interactions suffuse institutions with local force and significance' – has provided institutional scholars with a powerful image of institutional life that has animated many thoughtful empirical investigations of how people in organizations cope with and manipulate their institutional contexts. This grounding of institutions in the cognitions and behaviours of people and collective actors has gained a fuller form in writing on the microfoundations of institutions.

The institutional work perspective is also closely tied to the practice theoretic writing and research that has flourished in social and organizational research, and more recently in organizational institutionalism (as noted by Smets et al., Chapter 14). Interesting connections between institutional work and practice theory have been developed (Jarzabkowski, Matthiesen, & Van de Ven, 2009; Smets & Jarzabkowski, 2013).

Perhaps the most pointed discussion of the people problem in organizational institutionalism has been Barley's (Chapter 13) argument for integrating the Chicago School of symbolic interactionism into institutional studies. Barley argues that institutional research took a wrong turn, from which it has never recovered, in ignoring the potential contributions of the Chicago School, with its emphasis on institutions as constituted in social interaction. A great strength of Chicagoan symbolic interactionism was its attendance to and systematic theorization of the everyday goings-on of specific social worlds. And, as Barley eloquently puts it, 'everyday life is institutional theory's coalface; it is where the rubber of theory hits the road of reality' (Chapter 13: 358).

Emerging Conversations

Throughout the central themes and the subthemes within them that we have discussed, new ideas and questions continually arise and in doing so elaborate, nuance and at times stir up our understandings of institutional processes. Among these, three emerging and distinct conversations deserve particular notice: those to do with *emotions*, the *material and visual*, and *categories*.

Emotions

According to Lok et al. (Chapter 22), the cognitive emphasis within institutional theorizing 'has recently been challenged' because of the growing interest in uncovering the microfoundations of institutional processes. At one level, the possible significance of emotions is easily observable. Gabbioneta, Greenwood, Mazzola and Minoja (2013), for example, describe how analysts who raised questions about Parmalat (an Italian company that for over a decade successfully concealed its corrupted financial statements) were ridiculed into silence by other analysts and professional observers. Similarly, Senate Committees in the United States, and Parliamentary Committees of Inquiry in the UK, often display politicians angrily humiliating senior executives of accounting firms and investment bankers because of their failure to conform to social expectations of the role that their firms are supposed to perform as 'gatekeepers' of the market system. In a very real sense, these occasions are examples of actors 'swimming in a sea of shame' (Creed, Hudson, Okhuysen, & Smith-Crowe, 2014). Moreover, it has been shown that institutional stability and disruption are processes affected by the extent to which people 'feel emotionally and ideologically committed to them' (Pache & Santos, 2013: 10).

Yet, the play of emotions is 'conspicuously absent from institutional research' (Voronov & Vince, 2012: 59). Scott (Chapter 33: 860) says: 'there is little evidence that cognitive approaches have lost their grip'. Things, however, may be changing (Lok et al., Chapter 22). Importantly, the inclusion of emotions into institutional studies is not simply about the display of emotions. On the contrary, a key insight provided by Voronov and Weber (2016), is that 'emotions are central to the very constitution of people as competent institutional actors that hold a personal stake in an institution and are enabled to interpret and perform their own role within an institutional order'. By developing the idea of 'emotional competence', these authors show how individuals learn to express institutionally prescribed roles in a competent manner – a competence that includes not simply a cognitive understanding, but also understanding how and which emotions are legitimate and expected. As they put it: emotional competence is the 'capacity to belong in and inhabit an institutional order' (2016: 457). For the most part, Voronov and Weber discuss how individuals learn their institutional roles. But the same process, we would suggest, applies also to organizations and field-level actors. Professional associations, for example, learn appropriate emotional behaviours.

The significance of including emotions into institutional thinking is that it promises to open up strikingly new ways of understanding institutional stability and disruption (the emphasis of Lok et al., Chapter 22). Having learned and become committed to patterns of formative behaviour, individuals collectively monitor and enforce institutional arrangements. Further, the degree of desire for those arrangements influences the possibility of disruption. Toubiana and Zietsma (2016; see also Toubiana, Greenwood, & Zietsma, forthcoming) illustrate how the inclusion of emotions opens new insights into the current debate over the management of 'hybrids', i.e., organizations that encompass two or more logics. These authors point out that institutional logics contain 'emotional registers' – i.e., prescriptions about appropriate 'emotional content and expression' (2016: 4). Physicians in hospitals, for example, behave according to a different register than (for example) registers that apply to sports fans, or religious leaders etc. In effect, actors embody and deploy both a cognitive framework (in effect, a system of categories and concepts) by which they make sense of their social world) *and* an emotional register by which they socially construct and respond to situations. It follows that hybrid organizations composed of logics with different cognitive frameworks *and* emotional registers are likely to experience a particularly problematical version of institutional complexity. The extent to which different logics are compatible or incompatible may be a function not simply of their relative cognitive structures (the assumption of most current work in this area) but their respective emotional registers. It is thought-provoking to wonder whether cognitive or emotional incompatibility is the more challenging occurrence. It is also thought-provoking to speculate whether emotional incompatibility is more difficult to address than cognitive incompatibility.

The incorporation of emotions into institutional analysis is intriguing. Much can be anticipated as empirical work builds upon the theoretical groundwork provided by Creed et al. (2014), Massa, Helms, Voronov and Wang (2016), Toubiana and Zietsma (2016), Voronov and Vince (2012) and Voronov and Weber (2016). Indeed, while this area remains relatively nascent it has exciting possibilities for illuminating the micro- and group-level foundations of institutional expectations and behaviour. We have much to learn but the possibilities are exciting.

Materiality and visuality

Much as the role of emotions has been neglected within institutional scholarship, so too has the role of the material and the visual. And, as with emotions, the material and the visual bases of institutions are slowly becoming acknowledged. Jones et al. (Chapter 23) stress the significant role and influence of visual images and material artifacts for institutions and institutional processes and mechanisms. They argue that institutions are multimodal, i.e., sedimented in, and represented by, a variety of sign systems. However, currently too much of our existing knowledge on the workings of institutions relies on the study of verbal language. Material artifacts are durable and transferable (Jones, Boxenbaum, & Anthony, 2013); their characteristics and features contribute to 'relative permanence' and therefore influence what endures or decays. The visual has its own specific ways of organizing, transmitting, and storing meaning that distinguish it from verbal language. These characteristics include, for example, spatiality, immediacy of perception, the ability to evoke emotional responses, or (in contrast) the signaling of scientific detachment (as in the use of charts and graphs in presentations). The visual may become of even greater significance in the future because of the growth and increasing sophistication of communication technologies.

Jones et al. (Chapter 23) use core concepts such as legitimacy, institutional logics, or identity to outline the potential that embracing materiality and visuality has for institutional research. They discuss, for instance, how material and visual camouflage help legitimize innovations (e.g., electricity in the study by Hargadon & Douglas, 2001), or facilitate 'legitimacy spillovers' (e.g., Haack, Pfarrer, & Scherer, 2014) by connecting divergent elements in spatial arrangements. Indeed, they suggest that in addition to the various forms of legitimacy more usually captured (see Deephouse et al., Chapter 1), 'aesthetic legitimacy' also exists and needs to be studied. In addition, they encourage us to think of visual and/or material 'repertoires' that, similar to 'vocabularies' (e.g., Jones & Massa, 2013; Höllerer, Janscary, Meyer, & Vettori, 2013), are characteristic for specific institutional logics, distinct communities, or are part of institutional infrastructures of particular fields. The ability to bridge between institutional domains (Höllerer et al., 2013) and to create boundary objects (e.g., Jones & Massa, 2013) increases the opportunities for organizations to comply with institutional pluralism or deal with complexity and may be an important resource for hybrid organizations or globally oriented organizations. Material artifacts and visual images are important 'tools' for the institutional work of actors. Translation, identity, categorization, and emotionality are further examples of core institutional concepts where materiality and visuality have a substantial impact and where further research into their workings may elicit new mechanisms or change our understandings of existing mechanisms and processes.

Categories

Initially, the study of categories emerged primarily in relation to ecological approaches and in particular the idea of a 'categorical imperative' (Zuckerman, 1999), which is tied tightly to notions of legitimacy. In general terms, categories represent socially constructed labels that differentiate 'objects, people, practices, and even time and space' (Lamont & Molnár, 2002: 168). Categories, from an ecological perspective, are constructed in terms of prototypes comprised of elements, such that possessing 'more (or fewer) of these features or elements […] makes it possible to categorize an entity more (or less) securely in that category' (Durand & Paolella, 2013: 1101). Categories from this perspective are closely linked to cognitive institutions (see Phillips & Malhotra, Chapter 15), providing taken-for-granted boundaries within which actors, action and objects need to fit in order to gain legitimacy.

As Durand and Boulongne (Chapter 24) point out, a broader, more institutional understanding of categories would emphasize their embeddedness in and connections to social practice. From this perspective, a category's meaning is a function not only of cognitive constructions, but also of the social practices in which a category is embedded (Glynn & Navis, 2013), practices that 'express and contribute to the social valuation of a category' (Delmestri & Greenwood, 2016; see also Glynn & Navis, 2013; Khaire & Wadhwani, 2010). As Glynn and Navis (2013: 1127) put it: 'categorizing is not purely cognitive, but socio-cultural as well because it is anchored in the context in which categorization occurs'. The social and evaluative nature of categories exposes them as potential objects of institutional work: one of the most famous examples of such work is 'the diamond invention', led by De Beers, which 'convert[ed] tiny crystals of carbon into universally recognized tokens of wealth, power, and romance', created an understanding of diamonds 'not as marketable precious stones but as an inseparable part of courtship and married life', and 'endow[ed] these stones with a sentiment that would inhibit the public from ever reselling them' (Epstein, 1982).

The theorization of categories within the institutional perspective is still unfolding, but recent studies indicate the rich insights that can be generated by doing so (see, for example, Cornelissen, Durand, Fiss, Lammers, & Vaara, 2015; Glynn & Navis, 2013; Kennedy & Fiss, 2013; Ocasio, Loewenstein, & Nigam, 2015; Wry, Lounsbury, & Glynn, 2011).

SOCIETAL CONSEQUENCES

Scott (Chapter 33: 853) compliments institutional theorists for a long-standing willingness 'to take on the tough fundamental questions'. Early studies in particular sought to understand important societal issues and the place of organizations within them. More recently, however, there has been disquiet regarding our distraction from broader issues of the societal consequences. Hardy and Maguire (Chapter 10), for example, conclude that most studies of institutional entrepreneurship ignore 'the power relations that pervade institutional fields', which means that we do not ask the fundamental question of 'Who benefits?'. Munir (2011: 114) rebukes the 'silence of institutional theorists' over the 2008 financial crisis. That silence, he says, implies that 'we have little or nothing to contribute'. Cooper, Ezzamel and Willmott (2008) even argue that institutional theory is unable to rigorously address issues of power, and by implication that it is an inappropriate lens for studying societal issues of this kind. For a response to this polemical assertion, see Lawrence and Buchanan (Chapter 18) and Hudson, Okhuysen and Creed (2015). Others have raised the need to focus upon problems such as climate change, corruption, exploitation, etc. (see Ferraro, Etzion, & Gehman, 2015 for a typical statement of this kind).

This unease within the institutional community is warranted and not restricted to institutional studies (see, for example, Pfeffer, 2016; Guthrie & Durand, 2008). It could be argued, moreover, that attention *has* been given to larger societal issues (see, for example, Schneiberg and Lounsbury's account of social movements, Chapter 11). Nevertheless, by and large, we are guilty as charged – or at least partly so. We have given insufficient attention to understanding some of the major societal consequences of institutional processes. But things are changing. Attention is turning from understanding institutional processes *per se*, to understanding their implications for major societal issues. The dependent variable has shifted from institutional processes towards institutional outcomes.

The rising conversation over the societal consequences of institutional processes is reflected in several new chapters in this volume. David, Sine and Serra (Chapter 25) connect those arrangements to economic development via entrepreneurial initiatives; two chapters (Davis, Chapter 26; and Amis et al., Chapter 27) look in very different ways at the institutional underpinnings of economic inequality; Palmer (Chapter 28) reviews the relationship between organizational wrongdoing (including corruption) and institutional arrangements; Jennings and Hoffman (Chapter 29) review the application of institutional theorizing to the natural environment; Rojas (Chapter 30) and Dobbin and Kalev (Chapter 31) analyse how institutional arrangements construct and differentially affect socio-demographic communities. Moreover, it would be inappropriate to conclude that these chapters are the only ones that speak to institutional consequences. The discussions contained in both in the 'new' and revised chapters reflect this shift in conversation towards societal consequences.

CONCLUSIONS

It is perhaps fitting that the concluding chapters of this edition are reflections by two of the most influential contributors to the institutional approach: John Meyer (Chapter 32) and Dick Scott (Chapter 33). John Meyer stresses the increasing rationalization in the modern stateless but globalized world and urges us not to forget that interested actors are institutionally constituted and not to overlook how 'models of organized actorhood expand, penetrate every social sector and country' (p. 848) – swallowing all other forms of coordinating activities and transforming them into formal organizations. Dick Scott, reviewing the development of the institutional approach to organizations, concludes that the theory is 'flourishing'. But, echoing our point above concerning consequences, he concludes by saying that: 'In a time when some of our most central institutional structures – political bodies, public agencies, financial institutions, corporations – are viewed by growing numbers as either corrupt, ineffective, or both, institutional theorists should be devoting more attention to examining what kinds of actions make them function better and what kinds undermine them (p. 866–867).'

And Where to Now?

Our first suggestion builds upon the above discussion of the need to better understand the consequences of institutions. Future scholars need to ask not about the degree of discretion institutional actors exhibit but how and when discretion is most formidable as a response to institutional constraints and how these variations in discretion wreak havoc or benevolence upon the organizations and societies that have previously taken these volitionally broken shared understandings as historical givens. We have established that institutionalized behaviours allow for discretion (the paradox of embedded agency, the witnessing of institutional work and entrepreneurship). The consequences of this discretion are especially crucial to future research. Such discretion is particularly profound for those on whom it is enacted because it represents the tearing down of practices, behaviours and structures that many may have felt were sacred, unshakeable or unworthy of abandonment. The fallout after discretion that has been successfully exercised is an important source of further study.

One might also go so far as to say that highly institutionalized organizations and contexts should only be interesting to organizational scholars to the extent that their maintenance or violation bring benefit or harm to organizations and societies. Whether highly institutionalized practices are relatively trivial versus consequential (e.g., the custom of a handshake versus the custom of racial segregation) should serve as one apt guidepost for future research in institutional theory. For future institutional analysis to be viewed as relevant, the responsibility will increasingly fall to the institutional scholar to convince us whether a handshake, for example, may carry deeper implications for organizations and the actors that reside within them and whether its discontinuity or withdrawal as an institutional practice should matter to organizational researchers. Institutions *per se* do not matter. It is the depth and profundity of their consequences, coupled with their ubiquity, that make them so indispensable to understanding organizations and organizational behaviour.

This suggested direction of future research is fortified by recent calls to place organizations squarely in the empirical investigation as the dependent variable of institutional studies. As Greenwood, Hinings and Whetten (2014: 1206) argue, 'institutional scholarship has become overly concerned with explaining institutions and institutional processes, notably at the level of the organization field, rather than with using them to explain and understand organizations'. We adhere strongly to this view, believing, as we noted at the outset, that our fundamental focus as organizational researchers surrounds organizing and organizations, their inhabitants and the surrounding communities affected by them. Scholars of institutional theory should, indeed, be more than proud of the strides that they have achieved in understanding the realms of what institutional pressures look like, what forms or categories they take (e.g., logics), how they exhibit predictable processes (e.g., institutional work), how the pillars of institutionalism (Scott, 2004) can be interpreted as a set of institutional typologies, and how institutional phenomena emerge and change over time. We see the need, however, for more studies in which institutional phenomena serve as the independent variable given that a review of the institutional literature indicates that the obverse has tended to characterize institutional theory's direction.

Equally important to the success of future institutional investigation is a scholarly loyalty among institutional theorists to the very roots of institutionalism – stasis and continuity – as influences upon organizations. Framed as a more generalized future recommendation, some scholars have simply asked us not to place an overemphasis on heterogeneity in studying institutionalization.

> Although, admittedly, differences, change, or heterogeneity may seem more exciting compared to

> similarity, stability, resilience, or homogeneity, we want equally to emphasize that *institutional* organization theory ought to make sure not to lose sight of its central claim to study *institutions.* (Meyer & Höllerer, 2014: 1222, emphasis in original)

We believe that the study of stasis as a core characteristic of institutionalism raises the important dark side of institutional influence when it is manifested as latent compliance with harmful norms, unintended failures to recognize the potential evils of taken-for-granted beliefs that defy questioning or resistance, the looming danger of 'nonchoice behaviour' in which, for example, the inferiority of a race or gender is so taken-for-granted that granting votes or other citizen rights do not even occur to the members of the field. The stasis that characterizes some institutionalized behaviours begets cognitive lock-in that is disturbingly deterministic. As institutional theorists, we are only beginning to understand the deep structures of power that often attend stasis and continuity, but far more remains to be investigated. Responding to valid observations that institutional theory does not always rigorously encompass power in their explanations (Clegg, 2010; Meyer & Höllerer, 2014; Munir, 2011, 2015), we see fruitful lines of future inquiry into the deep structures of power (and often elitism) that perpetuate the status quo and its accompanying institutionalized behaviours to the disadvantage of organizations and marginalized participants due to taken-for-granted understandings that have their roots in longstanding historical inequalities that render the assumptions underlying them virtually invisible to those who are oppressed.

The failure to critique or in some cases even recognize unequal power is one of the most fascinating and haunting outcomes of the dark side of institutional theory because it excuses oppression or inequality as simply 'the way we have always done things around here' and is among the most highly validated evidence that something is institutionalized because it is no longer even questioned by even the most well-meaning (if ignorant) participant in the institutionalized process. This phenomenon is among the main reasons why we need to focus more on the 'ideational aspects' of institutionalism, as we note below.

Interestingly, the reverse possibility, that stasis and continuity may supply organizations with particular benefits has received almost no scholarly attention, even though these are the very characteristics that define institutionalization. This may be the point where we need to connect more deeply with the microfoundations of institutions and link stasis to those conditions under which the desires, interests, cognitions and motivations of individuals support either a well-reasoned or, alternatively, oppressive preference for continuity. One avenue is those scholars that advocate linking the literature on learning to the microfoundation of institutional theory to fully understand how and why organizations make the decisions they do to support or reject change (Chandler & Hwang, 2015). To date this area has received scant attention.

Our optimism for the significance of future institutional research rests partly on its catchment area as a topic that has preserved what can only be viewed as a preciously wide array of voices, methodologies, foci and underlying ontologies that a range of scholars continue to bring to the topic of institutionalism. Institutional conferences, colloquia, conversations and publications; cheek-by-jowl, sociologists, ecologists, critical theorists, strategy advocates, sociologists, international business scholars and die-hard positivists, all continue to spawn rich contributions and indictments of the theory. This form of inclusiveness, which is scintillating in its discourse and unsilencing in its depth of analysis, has given us the treasure of both intriguing theory extension and critical indignation at the types of agency, constraints and consequences that institutionalized behaviours create. Why the management field has been so fortunate as to attract such a hugely rich and potentially combative range of arguments and epistemologies in institutional theory is puzzling. We simply hope this rich form of inclusiveness will continue and we like to think it will because the theory is so relevant to so many aspects of organizations, including the important emerging conversations on topics like emotions, materiality and visuality, as well as societal consequences. To this end, we also share Suddaby's (2010: 15) request for more attention to 'the notion of meaning or what Scott (1994) terms the *ideational* aspects of organizations' [emphasis in original]. More emphasis on the subjective ways by which actors experience institutions is needed in order to redress the imbalance (pointed out quite correctly by Suddaby) that there is too often a preponderance of proxies for meaning.

Given our earlier premise in considering the dark side of institutionalism that 'actors themselves often do not understand their own motives for subordinating themselves to social pressure' (Suddaby, 2010: 16), there can be little doubt that institutional theory, in particular, should be taking its part in opening the black box of meanings, identifying those meanings (and their implications for power) rather than depending on proxies or researcher-attributed logics to teach us how meaning systems shape organizations so profoundly.

The elegance of institutional theory is that it holds to account both those agents who perpetuate the status quo (forces for coercive, isomorphic and normative isomorphism, for example) and those who assault the status quo to achieve significant change (institutional workers, institutional entrepreneurs). It is precisely at this nexus of stasis and change that we believe we may be able to learn the most about both institutional stability and change as fundamental source for good, for achieving effectiveness, and for combating harm to individuals and organizations. We feel that institutional theory's inclusiveness of such a wide range of perspectives and methodologies is a celebratory testament to the flexibility and intellectual vigor of those many scholars who investigate this theory's domain. We also hope that this scholarly range is indicative of the theory's true explanatory capacity and applicability to an unusually broad range of organizational phenomena.

Note

1 The first edition is available online.

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PART I

Beginnings (Foundations)

1

Organizational Legitimacy: Six Key Questions

David L. Deephouse, Jonathan Bundy, Leigh Plunkett Tost and Mark C. Suchman

INTRODUCTION

Legitimacy is a fundamental concept of organizational institutionalism. It influences how organizations behave and has been shown to affect their performance and survival (Pollock & Rindova, 2003; Singh, Tucker, & House, 1986). As developed in organizational institutionalism the term has spread widely across the social sciences, and because of this, our current understandings of legitimacy and how it is managed are much more nuanced and elaborate than portrayed in early institutional accounts. In this chapter we seek to bring greater clarity and order to the growing and sometimes confusing literature, focusing on the conceptualization of legitimacy itself and how it changes over time.

This chapter builds from the previous edition (Deephouse & Suchman, 2008, available online at www.sage.org/organizational institutionalism/legitimacy). In updating that chapter we reviewed 1299 publications and conference papers that had the string ‘legitim’ in the title, abstract, or keywords. Reflecting the reach and power of legitimacy, these publications included books and a wide range of journals and across a wide range of disciplines (e.g., communication, political science, public administration, and sociology – not just management). Our goal was to identify broad trends in theory and research, highlight possible theoretical innovations, and suggest important applications for scholars in organizational institutionalism. From this review we identified six central questions around which this chapter is arranged: What is organizational legitimacy? Why does legitimacy matter? Who confers legitimacy, and how? What criteria are used (for making legitimacy evaluations)? and How does legitimacy change over time? These five questions are shown in Figure 1.1. Our final section asks the sixth question, Where do we go from here?, and offers suggestions for future research.

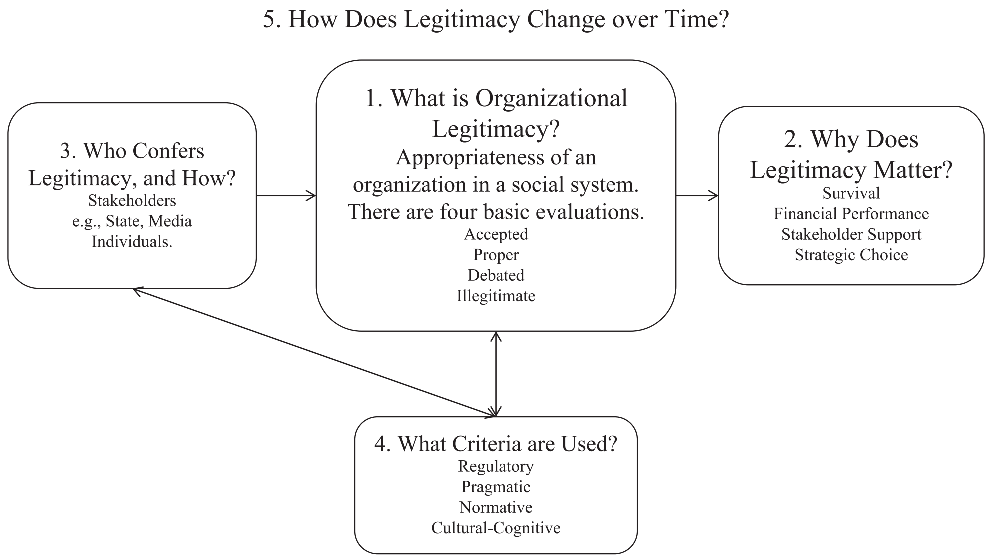

Figure 1.1 Overview of organizational legitimacy

We start with the question of 'What is legitimacy?' because we are concerned about the concept's ossification in recent years. Our review revealed that a large number of papers simply quote Suchman's (1995: 574) definition verbatim before moving on to discuss whatever particular type of legitimacy was studied in the paper. There has, however, been some noteworthy conceptual movement as well. Several authors have followed Deephouse and Suchman's (2008) recommendation that the term 'desirable' in Suchman's (1995) original definition be removed or bracketed to avoid potential confusion with status or reputation, especially if legitimacy is being examined alongside one or more of these other forms of social evaluation. More recently, there have been excellent recent elaborations of the definition of legitimacy (especially Bitektine, 2011 and Tost, 2011). Given these trends, the next section reviews and refines the definition of organizational legitimacy.

Having defined legitimacy, the obvious following question is 'Why does it matter?' We discuss why legitimacy matters, highlighting its many benefits to organizations. Having done so, we examine who confers legitimacy, and how. The short answer is that legitimacy can be granted by a variety of sources, each using a distinct routine. Whether through conscious deliberation or preconscious heuristics and taken-for-granted schemas, each source perceives and assesses legitimacy-relevant information, evaluates organizations using this information, and then endorses or challenges them based on those evaluations. Early treatments of legitimacy considered society as a whole as the relevant social system and viewed the nation-state as the primary source of legitimacy (Meyer & Scott, 1983; Parsons, 1956, 1960). Other early accounts viewed organizations in an organizational field as sources of legitimacy, and legitimacy was conferred by their endorsements, often in the form of formal inter-organizational relationships (Galaskiewicz, 1985; Singh et al., 1986). Subsequent treatments recognized that the media could be a source for society as a whole and for particular social systems within it (Deephouse, 1996; Dowling & Pfeffer, 1975; Lamin & Zaheer, 2012). More recent research has added to this list of legitimacy sources – which now includes individuals, investors, social movements, and other stakeholders (Schneiberg & Lounsbury, Chapter 11 this Volume; Tost, 2011). Researchers, in other words, are beginning to examine in greater depth which and how particular sources evaluate, both actively and passively, the legitimacy of organizations and how sources interact with each other and with subject organizations (Bitektine, 2011; Tost, 2011).

The fourth question that we address considers the criteria used by different sources as they evaluate the legitimacy of organizations and their actions. There are several types of criteria, and these can be useful for identifying different dimensions of legitimacy (e.g., regulatory, pragmatic, etc.). However, appreciation that legitimacy evaluations come from multiple sources highlights the possibility that legitimacy criteria may emerge interactively, in the interplay between the various sources evaluating a given organization and the organization itself. And, given the complexity and pluralism of the institutional environment it is possible that inconsistent prescriptions may arise and that debates may ensue among organizations and stakeholders, often in the public sphere. The variety of sources and their possibly conflicting evaluations inevitably bring to the foreground underlying debates at the micro- and meso-levels that influence macro-level legitimacy (Bitektine & Haack, 2015). Thus, we propose that the criteria used to assess legitimacy should be considered separately from the definition of legitimacy itself.

Our last question turns attention to how legitimacy changes over time. Fundamentally, organizations, sources, and criteria change over time, and organizations must retain legitimacy throughout these changes in order to benefit from it. New organizations gain legitimacy in order to become established (Aldrich & Fiol, 1994; Stinchcombe, 1965). An organization itself, moreover, changes over time as it moves through the organizational life cycle or changes its nature by diversification, intrapreneurship, or divestment. Corporate scandals, those still-too-common transgressions in organizational action, can challenge legitimacy (Gabbioneta, Greenwood, Mazzola, & Minoja, 2013), sometimes leading to organizational death (e.g., Enron and Arthur Andersen) but mostly leading to lingering concerns about an organization (e.g., BP, ExxonMobil, Union Carbide). Similarly, in the longer term, changing social mores and regulations, often championed by social movements, alter the criteria by which legitimacy is evaluated, challenging those organizations that are slow to adapt (King & Soule, 2007). And at times, some organizations act as institutional entrepreneurs to alter legitimacy standards (Hardy & Maguire, Chapter 10 this Volume).

Thus, it is important when studying legitimacy to reject a static perspective and recognize that legitimacy is a continually unfolding process in which different scenarios can be identified at different points in time. Ashforth and Gibbs (1990) and Suchman (1995) offered tripartite categorizations of such scenarios, focusing on the processes of gaining and maintaining legitimacy, as well as the processes of responding to legitimacy challenges. We revisit and refine their categorizations, adding two additional dimensions to their frameworks that recognize major developments in recent research: *Challenged By* and *Institutionally Innovating*.

We conclude by summarizing the main points of our review and then highlighting some critical areas for future empirical research – thus answering the question Where do we go from here?

WHAT IS ORGANIZATIONAL LEGITIMACY?

Since the dawn of organizational institutionalism in 1977, the conceptualization of legitimacy has displayed substantial elasticity that engendered both productive conceptual evolution and unproductive conceptual stretching (Osigweh, 1989). As a result, the existing literature contains many partially overlapping definitions that have spawned alternate measures and a variety of theoretical propositions. However, this intellectual thicket received some pruning in the last ten years, encouraged by Deephouse and Suchman (2008). In this section, we review research on the definition of legitimacy and offer a refined formulation of the concept.

Legitimacy can be evaluated for a wide range of subjects (Deephouse & Suchman, 2008), including: organizational forms, structures, routines, practices, governance mechanisms, categories, company founders, top management teams, etc. (Bernstein & Cashore, 2007; Black, 2008; Cohen & Dean, 2005; Deeds, Mang, & Frandsen, 2004; Djelic & Sahlin-Andersson, 2006; Durand & Boulongne, Chapter 24 this Volume; Haack, Pfarrer, & Scherer, 2014; Higgins & Gulati, 2003, 2006; Johnson, 2004). We focus on *organizational legitimacy*. However, many of our refinements to the conceptualization of legitimacy of organizations may apply to the legitimacy of other subjects as well.

Most reviewers credit Weber with introducing legitimacy into sociological theory and thus into organization studies (Johnson, Dowd, & Ridgeway, 2006; Ruef & Scott, 1998; Suchman, 1995). He discussed the importance of social practice being oriented to 'maxims' or rules and suggested that legitimacy can result from conformity with both general social norms and formal laws (Weber, 1978). Parsons (1956, 1960) applied Weber's ideas and viewed legitimacy as congruence of an organization with social laws, norms and values.

New institutional theory emerged in 1977 with articles by Meyer and Rowan (1977) and Zucker (1977). Although Zucker only mentioned legitimacy once, Meyer and Rowan made it a central focus, invoking the term at least 43 times in some form. Their summary graphic (1977: 353, figure 2) placed 'legitimacy' and 'resources' together in the same box, and suggested that both of these survival-enhancing phenomena may result not only from being efficient but also from conforming to institutionalized myths in the organizational environment. Although Meyer and Rowan (1977) did not offer an explicit definition of legitimacy, they presaged many of the dimensions explicated in the mid-1990s by stating that legitimacy can result from suppositions of 'rational effectiveness' (later termed pragmatic legitimacy), 'legal mandates' (regulatory or sociopolitical legitimacy), and 'collectively valued purposes, means, goals, etc.' (normative or moral legitimacy). They also highlighted how legitimacy insulates the organization from external pressures: 'The incorporation of institutionalized elements provides an account (Scott & Lyman, 1968) … that protects the organization from having its conduct questioned. The organization becomes, in a word, legitimate … And legitimacy as accepted subunits of society protects organizations from immediate sanctions for variations in technical performance' (Meyer & Rowan, 1977: 349, 351).

In 1983, Meyer and Scott discussed legitimacy in greater depth and provided this definition:

> We take the view that organizational legitimacy refers to the degree of cultural support for an organization – the extent to which the array of established cultural accounts provide explanations for its existence, functioning, and jurisdiction, and lack or deny alternatives … In such a[n] instance, legitimacy mainly refers to the *adequacy of an organization as theory*. A completely legitimate organization would be one about which no question could be raised. [Every goal, mean, resource, and control system is necessary, specified, complete, and without alternative.] Perfect legitimation is perfect theory, complete (i.e., without uncertainty) and confronted by no alternatives. (p. 201)

One noteworthy feature of this definition is its emphasis on legitimacy's 'cognitive' aspects – explanation, theorization and the incomprehensibility of alternatives.

Some theorizing expanded this formulation, embracing the basic proposition that legitimacy can be conceptualized as the presence or absence of questioning. Along these lines, Hirsch and Andrews (1984: 173–174) considered two types of legitimacy challenges:

> Performance challenges occur when organizations are perceived by relevant actors as having failed to execute the purpose for which they are chartered and claim support. The values they serve are not at issue, but rather their performance in 'delivering the goods' and meeting the goals of their mission are called into serious question … Value challenges place the organization's mission and legitimacy for existence at issue, regardless of how well it has fulfilled its agreed-upon goals or function. … [Both] entail fundamental challenges to the legitimacy of an organization's continued existence. Each places the target in an inherently more unstable situation than is addressed in comparative or longitudinal examinations of administrative efficiency.

Pfeffer and Salancik's (1978) foundational statement of resource-dependence theory adopted a similar 'negative definition' of legitimacy, asserting that 'Legitimacy is known more readily when it is absent than when it is present. When activities of an organization are illegitimate, comments and attacks will occur' (1978: 194). Knoke (1985: 222) restated this in the affirmative, defining legitimacy (in the context of political associations and interest groups) as 'the acceptance by the general public and by relevant elite organizations of an association's right to exist and to pursue its affairs in its chosen manner'.

The ability of an organization to pursue its own affairs (Knoke, 1985) resonates with Child's (1972) strategic choice perspective, which holds that legitimate organizations enjoy substantial latitude to choose their structures, products, markets, factors of production, etc. In other words, a legitimate organization has largely unquestioned freedom to pursue its activities (Brown, 1998; Deephouse, 1996).

The year 1995 could be viewed as a pivotal point in the development of legitimacy theory. Scott's book *Institutions and Organizations* (1995: 45) included the following definition:

> Legitimacy is not a commodity to be possessed or exchanged but a condition reflecting cultural alignment, normative support, or consonance with relevant rules or laws.

These three factors generated his cognitive, normative, and regulative bases of legitimacy.

Also in 1995, Suchman published his comprehensive paper 'Managing legitimacy: Strategic and institutional approaches' in the *Academy of Management Review*. He observed that legitimacy was 'an anchor-point of a vastly expanded theoretical apparatus addressing the normative and cognitive forces that constrain, construct, and empower organizational actors', but he also cautioned that the existing literature provided 'surprisingly fragile conceptual moorings. Many researchers employ the term *legitimacy*, but few define it. Further, most treatments cover only a limited aspect …' (1995: 571; emphasis in original). To remedy these weaknesses, Suchman (1995: 574) offered the following broad-based definition:

> Legitimacy is a generalized perception or assumption that the actions of an entity are desirable, proper, or appropriate within some socially constructed system of norms, values, beliefs, and definitions.

Within this scope, he delineated two basic perspectives: an institutional view emphasizing how constitutive societal beliefs become embedded in organizations, and a strategic view emphasizing how legitimacy can be managed to help achieve organizational goals.

These two publications raised the visibility of legitimacy, especially among management researchers studying for-profit organizations. Aldrich and Fiol (1994) had just highlighted the importance of legitimacy to entrepreneurs, and within a few years Kostova and Zaheer (1999) integrated legitimacy with multinational enterprises. Meanwhile, at a more theoretical level, Oliver (1997) drew heavily on arguments about legitimacy to integrate institutional theory with the resource-based view of the firm, and Deephouse (1999) developed strategic balance theory to address the tension between differentiating to attain profitability and conforming to attain legitimacy. This period also witnessed a sharp upsurge in references to legitimacy in the wider management literature. And this heightened attention led to a number of significant refinements in the field's understandings of the definition, dimensions, subjects and sources of legitimacy, as well as of the processes, antecedents and consequences of legitimation.

Overall, most research in the last two decades has, in some way, followed Suchman's (1995: 574) definition of legitimacy, evident by the many citations not only in management journals but in journals from other disciplines and languages.[1] Many papers simply repeated the definition verbatim (e.g., Demuijnck & Fasterling, 2016: 678; Fisher, Kotha, & Lahiri, 2016: 383, 386), while others used elements of this definition to build their own similar definitions. Some researchers followed Knoke (1985) and focused on the term 'acceptable' (Castelló, Etter, & Årup Nielsen, 2016; Deephouse & Carter, 2005; Scott, Ruef, Mendel, & Caronna, 2000: 237).

More recently, three works have moved beyond the seminal work of Suchman (1995) and reviewed extensively the definition. First, Deephouse and Suchman (2008) recommended that scholars cease using the term 'desirable' in the Suchman (1995) definition to avoid confusion with status and reputation. Perhaps as a result, this element has become less common as a standalone term in the last decade.

Second, following Wilson (1997), Bitektine (2011: 159) offered an enumerative definition of legitimacy:

> The concept of organizational legitimacy covers perceptions of an organization or entire class of organizations, judgment/evaluation based on these perceptions, and behavioral response based on these judgments rendered by media, regulators, and other industry actors (advocacy groups, employees, etc.), who perceive an organization's processes, structures, and outcomes of its activity, its leaders, and its linkages with other social actors and judge the organization either by classifying it into a preexisting (positively evaluated) cognitive category/class or by subjecting it to a thorough sociopolitical evaluation, which is based on the assessment of the overall value of the organization to the individual evaluator (pragmatic legitimacy), his or her social group, or the whole society (moral legitimacy), and through the pattern of interactions with the organization and other social actors, the evaluating actor supports, remains neutral, or sanctions the organization depending on whether the organization provides the benefit(s) prescribed by the prevailing norms and regulations.

The enumerative definition is a helpful summary of legitimacy research that highlights the concept itself and salient antecedents and consequences (especially behavioral ones). It also reminds us that organizational legitimacy is a perception of organizations by stakeholders, and Bitektine (2011; Bitektine & Haack, 2015) expanded on the nature of these perceptions. However, its breadth and intricacy may challenge scholars attempting to operationalize the concept in a consistent and replicable fashion that as would be necessary to generate cumulative scholarly advances.

Third, and also consistent with the idea of legitimacy as perception, Tost (2011) developed a model of legitimacy that integrated institutional and social psychological perspectives. She focused more narrowly than Bitektine (2011), specifically examining legitimacy as perceived by an individual. As such, her definition (2011: 688–689) was concise; legitimacy is: 'the extent to which an entity is appropriate for its social context'.

The use of the word 'appropriate' as the singular adjective in this definition has the benefit of specificity and is also one of the three adjectives in Suchman's (1995) definition.

In sum, conceptual clarity is important in theorizing because it allows scholars to debate, replicate and refine theory (Dubin, 1976; Kaplan, 1964; Osigweh, 1989; Suddaby, 2010). Given our review, we offer the following, concise definition:

> *Organizational legitimacy is the perceived appropriateness of an organization to a social system in terms of rules, values, norms, and definitions.*

Rules, values, norms and definitions reflect regulatory, pragmatic, moral and cultural-cognitive criteria or dimensions for evaluating legitimacy and are elaborated in section 4.

The conceptual range of legitimacy has generated much debate. Deephouse and Suchman (2008) argued that legitimacy is fundamentally dichotomous – an organization is either legitimate or illegitimate. Yet many researchers (ironically including Deephouse (1996)) have operationalized legitimacy using ordinal or continuous measures. We propose a refined view recognizing that there are four basic outcomes of legitimacy evaluations and hence four basic states of organizational legitimacy: accepted, proper, debated and illegitimate. *Accepted* should be used by scholars for more passive evaluations that reflect taken-for-grantedness, whereas *proper* should be used for judgments reached in a more deliberative fashion, as in evaluations of propriety (cf., Bitektine & Haack, 2015; Meyer & Rowan, 1977; Suchman, 1995; Tost, 2011). This distinction reflects that 'accepted' organizations are those that are not, or have not recently been, actively evaluated, whereas organization deemed 'proper' have been. For example, a long-standing food company may be taken-for-granted by consumers and thus accepted by this audience. However, it is also likely subject to regular formal inspections by the food inspection agency of the nation-state. From the perspective of the nation-state, therefore, the company's legitimacy as a purveyor of safe food is periodically monitored. Even if it receives a passing grade, and is thus labeled 'proper', its legitimacy is less secure than if it were more passively accepted.[2] Appropriate is a covering term for both acceptable and proper. The majority of organizations in a social system will be accepted by most stakeholders and viewed as proper by many others. Often, this acceptance will occur because propriety has been validated by another influential stakeholder, such as a state agency, in the recent past (Bitektine & Haack, 2015; Tost, 2011).

Debated reflects the presence of active disagreement within the social system, often among different stakeholders or between dissident stakeholders and the organization (we consider the various sources in the debate below.) Debate often includes questions or challenges by stakeholders about the organization's activities or its fundamental values (Hirsch & Andrews, 1984; Meyer & Scott, 1983). For instance, a food company that has a *Listeria* outbreak in its products may be challenged by stakeholders as to the appropriateness of its processes and perhaps even its values. Debate also occurs when an organization attempts to extend its domain into new areas or engage in institutional entrepreneurship. The example of genetically modified foods illustrates both cases. We view non-dichotomous measures of legitimacy as measuring these debates (e.g., Deephouse, 1996). Finally, *Illegitimate* reflects the assessment by the social system that the organization is inappropriate and that it should be radically reformed or cease to exist.

In addition to specifying these four states of legitimacy, we also conduct a *Gedankenexperiment* of how two stakeholders, an individual (Bitektine & Haack, 2015; Tost, 2011; see Deephouse (2014), for application to the closely related concept of reputation) and the nation-state where the individual resides (Kostova & Zaheer, 1999; Meyer, Boli, Thomas, & Ramirez, 1997; Wu & Salomon, 2016) evaluate the legitimacy of organizations within their boundary; this boundary is cognitive for the individual and geographic for the nation-state. The overwhelming majority of organizations for both stakeholders are legitimate. Most of the time, most stakeholders passively take most organizations for granted. As an individual, imagine the cognitive load if you made propriety legitimacy judgments for every organization you interacted with each day (Tost, 2011), such as the legitimacy of each item of food you buy. Similarly, the nation-state does not have the resources to actively and continually assess the propriety of each organization in its territory. Returning to our preferred terminology, most organizations are accepted, having been deemed proper and appropriate in the past and become taken-for-granted. The group of accepted organizations receives occasional validation by routine regulatory re-approval or unchallenging media mention; the level of scrutiny is so low that it merely reconfirms the inherent passivity of the evaluator. Another group of organizations may be deemed legitimate not because the organizations are passively accepted but because they have recently had their propriety assessed, and the resulting positive evaluations are salient to the evaluator. This could include organizations being actively audited by tax authorities or reassessed by concerned consumers. Smaller groups of organizations are being actively challenged and debated or are deemed illegitimate. We propose that there is a lower percentage of illegitimate organizations from the perspective of the nation-state compared to the individual, given the former's ability to close illegitimate organizations using its police power. Turning to relative numbers of debated organizations, we propose the individual has a lower percentage of organizations in this group because of the cognitive complexity and emotional effort of questioning.

Distinguishing these four states of legitimacy informs the measurement of organizational legitimacy at the level of a social system. We propose that legitimacy is fundamentally bounded. At one boundary, an organization is legitimate because it has demonstrated its appropriateness and goes unchallenged regarding societal rules, norms, values, or meaning systems (Hirsch & Andrews, 1984; Meyer & Scott, 1983; Suchman, 1995; Tost, 2011). Stakeholders within the social system may vary on their evaluations as to whether the organization is proper or accepted, but at the collective level of the social system the organization is appropriate. At the other boundary, illegitimate subjects are those that are so questioned that they are broadly viewed as lacking a right to exist. In between these bounds are subjects whose legitimacy is being questioned or challenged to varying degrees. Thus, as with the concept of 'satisficing' in bounded-rationality theory (Simon, 1976), legitimacy may not be fully dichotomous; however, strong cognitive pressures act to segregate most cases into the two ends of the spectrum and make the middle categories temporary and unstable.

WHY DOES LEGITIMACY MATTER?

Legitimacy matters because it has consequences for organizations. Primary among these consequences, particularly for organizational scholars, is that legitimacy has a clear effect on social and economic exchange: most stakeholders will only engage with legitimate organizations. In other words, no matter what the components of the marketing mix illegitimate organizations might offer, a large number of stakeholders will not transact with entities that are regarded as illegitimate (and indeed, many stakeholders may actively avoid debated organizations as well). Thus, legitimacy affects market access: 'An organization which can convince relevant publics that its competitors are not legitimate can eliminate some competition' (Brown, 1998; Deephouse & Carter, 2005; Pfeffer & Salancik, 1978: 194).

A few examples may be enlightening: One is gambling, divided into state-sanctioned and other forms. Many customers who would happily buy a state lottery ticket would never consider placing wagers with a bookie, even at substantially more favorable odds. Another example is petroleum marketing. Certain stakeholders who are concerned about the environment may refuse to patronize Exxon, Shell and BP in reaction to the *Exxon Valdez,* Brent Spar and Deepwater Horizon incidents, respectively. These concerned stakeholders may outrightly oppose the existence of these companies (and thus deem them illegitimate), or they may actively debate their legitimacy at a given point in time (for example, in reaction to the incidents listed). Regardless of their being deemed outright illegitimate or being debated, the concerned stakeholder will refuse to engage in commerce with the companies. A third example comes from the British Columbia forestry industry, where the province decided to grant timber access only to contractors who could demonstrate acceptable safety standards not only in their own operations but also in the operations of their subcontractors. In announcing the policy, the Provincial Forests Minister nicely captured the importance of legitimacy for market access: ‘no one is going to get one of those tenders unless they have safety procedures applied through their operation … they are a safe company and they meet our standards’ (Kennedy, 2006: S3). A final, somewhat different example can be seen in the 1960s aphorism ‘no one ever lost their job by buying IBM’. Here, the driving force was less pragmatic efficacy or normative approbation than cognitive taken-for-grantedness: IBM was the ‘accepted’ standard, and hence beyond reproach; the propriety of any other choice required explicit justification, and risked engendering explicit debate.

The effects of social and economic exchange have been assessed using a variety of outcome measures. Since Meyer and Rowan (1977: 353), institutionalists have argued that legitimacy enhances organizational survival. Supportive evidence abounds: Legitimacy measured by endorsements and inter-organizational relationships increased survival rates among Toronto non-profits (Baum & Oliver, 1991, 1992; Singh et al., 1986), and both managerial and technical legitimacy reduced exit rates for US hospitals (Ruef & Scott, 1998). Organizational ecology, too, has lent support to this claim, finding that legitimacy (measured by the density of firms in an industry) increases survival rates across a wide range of organizational populations, particularly in their early years (Hannan & Carroll, 1992). Some research has considered how legitimacy could be used to facilitate survival. For instance, Walker, Schlosser and Deephouse (2014) found that solar energy producers leveraged four different dimensions of legitimacy to develop ingenuity strategies to adapt to and modify institutional constraints. One of these ingenuity strategies, forming inter-organizational collaborations, was a key antecedent of subsequent legitimacy. These collaborations were formed rapidly in this embryonic industry, contrary to Aldrich and Fiol’s (1994) prediction for emergent industries and firms. These treatments of legitimacy are consistent with Scott’s (1995: 45) view that: ‘Legitimacy is not a commodity to be possessed or exchanged but a condition reflecting cultural alignment, normative support, or consonance with relevant rules or laws.’

As management scholars in business schools, especially in strategic management, developed an interest in legitimacy over the last 20 years, there have been more efforts to consider how legitimacy contributes directly to financial performance. This reflects the strategic view of legitimacy as a tool for achieving organizational goals and that ‘[l]egitimacy affects the competition for resources’ (Pfeffer & Salancik, 1978: 201; Suchman, 1995). Researchers have developed and tested hypotheses predicting how legitimacy would affect a variety of performance measures, such as the value of initial public offerings (IPOs) (Cohen & Dean, 2005; Deeds et al., 2004; Pollock & Rindova, 2003), stock prices (Lamin & Zaheer, 2012), stock market risk (Bansal & Clelland, 2004), and stakeholder support (Choi & Shepherd, 2005). Legitimacy is also related to measures of financial performance through the legitimating and performance-enhancing impact of isomorphism (Deephouse, 1996; Heugens & Lander, 2009; Meyer & Rowan, 1977).

Early institutionalists proposed that a central benefit of legitimacy was avoiding questions or challenges from society (Hirsch & Andrews, 1984; Meyer & Rowan, 1977: 349, 351; Meyer & Scott, 1983). Legitimate organizations have largely unquestioned freedom to pursue their activities (Knoke, 1985). Consistent with this theme, Brown (1998: 35) stated: ‘legitimate status is a *sine qua non* for easy access to resources, unrestricted access to markets, and long term survival’. In contrast, organizations whose legitimacy is debated have less freedom and are closely monitored. For instance, Deephouse (1996) highlighted that regulatory sanctions restricted the ability of banks to make certain types of loans. Thus, legitimacy matters because it enhances strategic choice, a key concern of strategists (Child, 1972).

WHO CONFERS LEGITIMACY, AND HOW?

Legitimacy is conferred by sources using routines. Sources are those internal and external stakeholders who observe organizations (and other legitimacy subjects) and make legitimacy evaluations, whether consciously or not, by comparing organizations to particular criteria or standards (Ruef & Scott, 1998: 880). We use the term ‘source’ to indicate an entity that makes either explicit or tacit legitimacy judgments about a focal organization. Other commonly used labels include ‘audience’ and ‘evaluator’. The former, however, may connote too much passivity for some situations, while the latter may connote too much assertiveness. With ‘source’, we favor a more neutral middle ground. To be considered a source of legitimacy, the stakeholder must not only make an assessment about the legitimacy of the subject but that assessment must generalize into a broader view of the overall appropriateness of the organization in its social system. Commonly studied sources include: the state, its regulatory agencies, and its judiciary; the professions; licensing boards; public opinion; and the media (Bitektine & Haack, 2015; Knoke, 1985; Meyer & Scott, 1983; Ruef & Scott, 1998). Each of these sources employs a distinct set of cognitive processes or routines (Bitektine, 2011; Nelson & Winter, 1982; Tost, 2011) for perceiving and processing legitimacy-relevant information, evaluating organizations using this information, and then communicating these evaluations to others in the social system.

Early legitimacy research focused on the importance of the state. For instance, Dowling and Pfeffer (1975) considered how the American Institute for Foreign Studies sought legitimacy from government officials. Others have recognized that most organizations are routinely evaluated by some agency of the state, such as banks by regulators and non-profits by taxation authorities (Deephouse, 1996; Singh et al., 1986). Even in an era of neo-liberal deregulation and ‘private governance’, such state actors remain important in conferring legitimacy (Reimann, Ehrgott, Kaufmann, & Carter, 2012).

Another long-studied source is public opinion as a reflection of social values. For example, Selznick (1949) showed that the Tennessee Valley Authority adapted its goals and methods to conform to public opinion. Public opinion can be measured by surveys and by studying public forms of communication (Dowling & Pfeffer, 1975). General-population surveys on the legitimacy of specific organizations are relatively rare, but surveys targeted on specific sectors or practices are more common (Finch, Deephouse, & Varella, 2015). The importance of public opinion and communication was reiterated in the special topic forum on communication, cognition and institutions of the *Academy of Management Review* (Bitektine & Haack, 2015; Cornelissen, Durand, Fiss, Lammers, & Vaara, 2015; Gray, Purdy, & Ansari, 2015).

The media have become a frequently studied source of legitimacy because of the link between media reports and public opinion (Abrahamson & Fairchild, 1999; Bansal & Clelland, 2004; Deeds et al., 2004; Lamertz & Baum, 1998; Lamin & Zaheer, 2012; Pollock & Rindova, 2003). Early work assumed that media reports reflected public opinion in the larger social system (Dowling & Pfeffer, 1975; Hybels, Ryan, & Barley, 1994; Schramm, 1949); however, later research recognized that media also influence public opinion (Deephouse, 1996; McCombs & Shaw, 1972). This duality is particularly noteworthy in the case of 'prestige media', such as *The New York Times* or *The Wall Street Journal*, as prestige media often set the agenda for less prestigious media outlets (Boyle, 2001; Gans, 1979). Prestige media have figured prominently in legitimacy studies (Bansal & Clelland, 2004; Lamin & Zaheer, 2012; Pollock & Rindova, 2003). Media reports are appealing to empirical researchers because many reports are readily available in electronic form. However, if scholars focus on prestige media alone, they may overlook underlying contestation because different types of media are connected to different stakeholders and their different interests (Carter & Deephouse, 1999; Vergne, 2011).

Today, the media world is rapidly changing as the cost of information and communication technologies has dropped. Mass communication is becoming less massive, and many traditional media empires are shrinking. Moreover, organizations, interest groups, social movements and individuals use digital technologies to inform and persuade others regarding the legitimacy of organizations and their practices. One intriguing consequence of this new dynamic is that the true meaning of media 'authority' can be questioned: prestige media can no longer set the tone without substantial input (and potentially pushback) from individuals across the social strata voicing their opinions and concerns on social media. Indeed, one Facebook post or one tweet on Twitter can lead to a legitimacy challenge for even the most well-established organization. Our hope is that future research will produce a better understanding of how the emergence of social media and the big data generated therein reflect and influence organizational legitimacy. For instance, Castelló et al. (2016) examined how a multinational pharmaceutical corporation developed a networked legitimacy strategy to address institutional complexity by participating in open social media platforms and co-constructing agendas with pluralistic stakeholders.

Social movements and interest groups are also important influences on public opinion and government policy. They actively advocate for the legitimation of certain subjects and the de-legitimation of others (Rao, Morrill, & Zald, 2000; Schneiberg & Lounsbury, Chapter 11 this Volume; Strang & Soule, 1998), often by focusing attention on particular criteria such as rights for GLBT people (Creed, Scully, & Austin, 2002; Elsbach & Sutton, 1992) and the natural environment (MacKay & Munro, 2012). Their arguments commonly appear in (social) media and are often adjudicated (albeit not always fully resolved) by regulators, courts, or legislators (Bitektine & Haack, 2015; Edelman & Suchman, 1997; Suddaby & Greenwood, 2005).

Although early experimental work by Zucker (1977) and Elsbach (1994) examined how individuals assessed legitimacy, most research has focused on legitimacy granted by influential sources at a collective level of analysis. Recently, however, two papers in *Academy of Management Review* have rekindled interest in how legitimacy is evaluated at the individual-level of analysis. Bitektine (2011) observed that research usually regarded evaluators as passive audiences; in contrast, he considered them as active information processors. Tost (2011) observed that evaluators are either individuals or comprised of individuals, when they are making decisions in organizations. She drew on the work of Dornbush and Scott (1975) to highlight a useful distinction between *propriety*, i.e., legitimacy assessed by individuals, and *validity*, i.e., legitimacy assessed by collectivities. Bitektine and Haack (2015) subsequently utilized this distinction in developing a multi-level process model linking micro and macro levels. This interest in the individual is consistent with research trying to bridge the micro–macro divide, both in institutional theory (e.g., Powell & Colyvas, 2008; Powell & Rerup, Chapter 12 this Volume; Scott, 1995) and in management more generally (Bamberger, 2008; Molloy, Ployhart, & Wright, 2011; Rousseau, 1985). For instance, Gray et al. (2015) considered the micro-processes and mechanisms that allow for bottom-up institutionalization of meanings and fields. Their theory focused on the role of framing to explain how micro-level interactions between stakeholders instantiate more macro structures of understanding.

Tost (2011) integrated arguments from social psychology and institutional theory to develop a model that focuses specifically on individuals as evaluators but also may inform evaluations of legitimacy by organizations. Her model consists of three stages: judgment formation, judgment use, and judgment reassessment. She argued that judgment formation can occur in one of two psychological 'modes': passive or evaluative. Most commonly, the judgments made by individuals are quick and effortless, characterized by passive acceptance of the legitimacy cues offered in the institutional environment. When legitimacy is contested, in contrast, individuals engage in a more active evaluative process of judging the subject along the various dimensions of legitimacy. Once a judgment is formed, it is used in a passive way until an event or exogenous shock triggers a reassessment of an organization. The judgment reassessment stage is theorized by Tost (2011) to always proceed in the 'evaluative' mode. The nature of the evaluative mode was elaborated in the process model developed by Bitektine and Haack (2015) that also made an important contribution in connecting individual-level and collective-level legitimacy dynamics. Consistent with this trend, empirical work in management has begun to investigate the role of the individual in legitimacy processes (Drori & Honig, 2013; Finch et al., 2015; Huy, Corley, & Kraatz, 2014; Westphal & Deephouse, 2011). Similarly, researchers in other disciplines such as accounting (Milne & Patten, 2002; O'Dwyer, 2002) and criminology (Tyler, Fagan, & Geller, 2014) have also begun to apply legitimacy theory to the study of individual responses.

Much of the research on individual processes of legitimacy judgments focuses on cognitive efforts to make sense of organizations (cf. Bitektine, 2011; Bitektine & Haack, 2015; Tost, 2011). While this research recognizes the 'passive' processing of taken-for-granted legitimacy judgments (Tost, 2011: 692), including the role of cognitive biases, it has been largely silent on the role of emotions and affect. That is, while research has advanced our understanding of how individuals use reason and logic to make their legitimacy judgments, we know less about how individuals use their emotions and feelings to assess organizations. Parallel to emerging research on emotions and institutions (Lok, Creed, DeJordy, & Voronov, Chapter 22 this Volume; Voronov & Vince, 2012), research has only just begun incorporating emotions to the study of legitimacy. For example, Haack et al. (2014: 636) considered how the general public legitimates transnational governance schemes (such as the United Nations Global Compact) through an intuitive 'legitimacy spillover' process. These authors argued that the legitimation process is primarily 'affective', in that intuiters rely on their positive or negative feelings towards affiliate organizations to infer the legitimacy of transnational governance organizations. Similarly, Huy et al. (2014) show how positive emotional reactions to change initiatives can reduce stakeholders' resistance and enhance their evaluations of such initiatives (and how negative emotional reactions can increase resistance and lead to legitimacy challenges). Future research should build on this emergent stream to consider how cognitive and emotional systems interact to influence legitimacy judgments. However, we do not believe that legitimacy captures stakeholders' emotional evaluations exclusively because legitimacy is defined primarily by a sense of appropriateness, not by favorability or likeability, as in the case of reputation, nor by group membership and honor, as in the case of status (Bundy & Pfarrer, 2015; Deephouse & Suchman, 2008; Pollock, Lee, Jin, & Lashley, 2015).

We conclude our discussion of sources by recommending that researchers closely consider what specific sources of legitimacy *actually do* when evaluating organizations, that is: what routines they use to perceive and assess legitimacy-relevant information, make legitimacy evaluations, and communicate these evaluations. Recent attention to the cognitive processes of the individual has been excellent in this regard. We look for greater depth as scholars study the many influential sources that are themselves organizations – each with its own individual decision-makers, internal processes, and external environments. Such work should draw partly on other disciplines that focus on these sources, such as law, political science, and public administration. For instance, media stories do not appear out of a vacuum but instead are produced by people in organizations, as Hirsch (1977) reminded us forty years ago and has been elaborated by communication scholars (Shoemaker & Reese, 1991, 2014). Indeed, useful insights into the distinctions among prestige media, specialized media and social media might be gained by considering the different mix of field-level standards, organization-level routines and individual-level cognitions in these different contexts. The multi-level interplay of standards, routines and cognitions may be equally salient among non-media legitimacy sources as well. De-legitimation by fraudulent accounting stems from decisions made by accounting firms, as the cases of Enron and Parmalat should remind us (Gabbioneta et al., 2013). And of course, de-legitimation by government prosecution stems from the complex interplay of prescription and discretion within the criminal justice system.

Equally important, though, will be exchanges with other branches of organization theory. After all, many sources of legitimacy are organizations in their own right (Hirsch, 1977; Scott, 1987), and their actions need to be understood in organizational terms. A long-standing tenet of organizational theory from an open systems perspective is that each legitimacy-granting organization is connected to others, both within its sector and across sectors, and mimetic isomorphism often occurs. For instance, media monitor and report decisions by regulators (Deephouse, 1996). Similarly, Gabbioneta et al. (2013) showed that the various stakeholders influence each other – often unwittingly. Thus, the conferring of legitimacy by various sources is as amenable to organizational analysis as is the pursuit of legitimacy by a focal organization.

WHAT CRITERIA ARE USED?

Sources use four basic types of criteria for evaluating organizational legitimacy: regulatory, pragmatic, moral and cultural-cognitive. We acknowledge that these four types have been denoted as ‘bases’ (Scott, 2014) or ‘dimensions’ (Suchman, 1995) of legitimacy; we use the term *criteria* because it more clearly evokes the presence of implicit or explicit standards for evaluating organizations, consistent with our refined definition. We also acknowledge that we have positioned the types of criteria outside the box defining legitimacy in Figure 1.1. This choice reflects the fact that the specific criteria are not inherent to the definition of legitimacy, as dimensions would be. Instead, criteria emerge from negotiation and debate among organizations and stakeholders. Moreover, criteria vary depending on the specific source and particular organization under consideration. Nevertheless, we remain consistent with past research by recognizing that different types of legitimacy (e.g., moral legitimacy) result when certain criteria (moral values) are generally agreed upon within the social system.

Our selection of these four types is not surprising, given past research. Meyer and Rowan (1977) discussed the importance of rational effectiveness, legal mandates, and 'collectively valued purposes, means, goals, etc.' – approximately equivalent to our categories of pragmatic, regulatory, and moral criteria, respectively. Aldrich and Fiol (1994: 648) distinguished between cognitive and sociopolitical legitimacy, where 'cognitive legitimation refers to the spread of knowledge about a new venture … Sociopolitical legitimation refers to the process by which key stakeholders, the general public, key opinion leaders, or government officials accept a venture as appropriate and right, given existing norms and laws' (cf., Bitektine, 2011; Deeds et al., 2004). Suchman (1995) proposed three general categories of 'pragmatic', 'moral' and 'cognitive' legitimacy and then elaborated this into a typology of twelve types. Scott (1995) proposed three bases of legitimacy linked to his three pillars of institutions: regulative, normative and cognitive. Subsequently (2014), he refined cognitive legitimacy to become cultural-cognitive legitimacy, reflecting both taken-for-grantedness and shared understandings. In contrast to Aldrich and Fiol (1994) and Scott (1995, 2014), Archibald (2004) equated sociopolitical legitimacy with regulative legitimacy and combined normative and cognitive legitimacy in a new category called cultural legitimacy. Cultural legitimacy accrues over time in professional and cultural contexts, whereas sociopolitical legitimacy is more directly managed within political contexts. Recently, Tost (2011) drew on conceptualizations of legitimacy from social psychology to introduce the relational category, reflecting the effect of an organization on an individual's identity and self-worth. This category may become more important, especially as institutionalists incorporate identity and identification into their work (Brown & Toyoki, 2013; Canivez, 2010; Drori, Honig, & Sheaffer, 2009); however, it is hard to say at present whether relational considerations will prove to be a distinct fifth type of criteria or an overarching causal process through which any of the four core types can be applied.

More specific criteria related to particular types of organizations or contexts can be situated within these four general categories of criteria. For instance, Bansal and Clelland (2004) developed the concept of corporate environmental legitimacy, reflecting regulatory, moral and cultural-cognitive appropriateness in terms of a particular set of environmental practices and norms. Vergne (2011) focused on contextually and phenomenologically derived dimensions in developing his measure of legitimacy, including criteria focused on environmental and competitive norms.

Although we recognize that the categorizing of legitimacy criteria is important for theorizing and empirical research, we also recognize that such categories are analytic concepts, not fully separable empirical phenomena. Thus, we urge legitimacy researchers not to become fixated on defending the purity and independence of the different types. Early in the development of organizational institutionalism, Meyer and Scott (1983: 214) observed that 'the literature on legitimacy tends to distinguish sharply between its cognitive and normative aspects. This may overemphasize Western dualism.' This critique may become more relevant as globalization proceeds. Scott (1995: 143–144; cf., Tost, 2011) wrote that 'distinctions … among [the three pillars of institutions] are analytical in the sense that concrete institutional arrangements will be found to combine regulative, normative, and cognitive processes together in varying amounts'. Thus, any act of legitimation may affect a number of criteria. For instance, certification contests in the early days of auto making provided both normative justification and cognitive validation for the young industry – as well as pragmatic promotion for those fortunate firms that could demonstrate superior capabilities (Rao, 1994). Many issues subject to regulation, such as food safety (Durant & Legge, 2006; Hemphill & Banerjee, 2015) and securities fraud (Gabbioneta et al., 2013), also have pragmatic, moral, cultural-cognitive and perhaps even relational implications.

HOW DOES LEGITIMACY CHANGE OVER TIME?

The preceding sections of this chapter have painted a general picture of legitimacy as a state of acceptance, propriety, debate or rejection at a particular point in time. We next turn to how legitimacy changes over time as organizations, sources, and criteria change over time.

Legitimation was defined in early research as the process by which an organization demonstrates its legitimacy to stakeholders (Maurer, 1971). Early work highlighted how organizations sought to enhance their legitimacy by donating to charities, forming director interlocks, and obtaining external endorsements (Dowling & Pfeffer, 1975; Galaskiewicz, 1985; Pfeffer & Salancik, 1978). This organization-centered view persisted in what Suchman (1995) labeled the 'strategic' approach to legitimacy research. However, an open-systems perspective recognizes that stakeholders are potentially agentic and legitimacy is often negotiated (Ashforth & Gibbs, 1990; Bitektine, 2011; Pfeffer & Salancik, 1978). Within this open-systems view, it is generally recognized that different legitimacy sources have different criteria that sometimes conflict (Fisher et al., 2016; Ruef & Scott, 1998). Thus, we extend our discussion to include stakeholders' actions to endorse or contest an organization's legitimacy as well as the organization's actions to defend itself. We begin this section by proposing five legitimation scenarios. We then highlight the symbolic and substantive tools used for managing legitimacy. Throughout, we observe that certain scenarios and tools differ systematically based on the type of organization or organizational form.

Managing legitimacy is important at all times, but different times call for different types of legitimation activities. Ashforth and Gibbs (1990: 182) proposed three 'purpose(s) of legitimation': Extending, Maintaining and Defending Legitimacy. Suchman (1995: 585) offered a similar framework of three 'challenges of legitimacy management': Gaining, Maintaining and Repairing Legitimacy. Rather than purposes or challenges, we propose the use of the term *Scenarios* because it better reflects evolving situations that can be viewed both from the organization's and from the stakeholders' perspective; also, scenarios are commonly used by planners as alternative future states (Cornelius, Van De Putte, & Romani, 2005; Hodgkinson & Healey, 2008; Schoemaker, 1993); nevertheless, we do follow prior work and take the perspective of the organization when selecting names for the scenarios. We add two categories of scenario to the earlier three-fold typologies: *Challenged By* and *Institutionally Innovating* (discussed below).

We prefer *Gaining* to Extending because before new organizations can extend legitimacy, they need to gain it in the first place – or risk falling victim to the liabilities of newness (Singh et al., 1986; Stinchcombe, 1965). Moreover, existing organizations can gain legitimacy for new activities in a variety of ways, not only by extending the umbrella of the organization's prior legitimacy to cover a new activity. Thus, gaining is more a comprehensive term. Gaining legitimacy occurs in a stable institutional environment, so that the organization must demonstrate its propriety and fit within pre-existing regulatory and pragmatic standards, moral values, and cultural-cognitive meaning systems. Based on the pioneering work of Aldrich and Fiol (1994), much research has examined how new entrepreneurial organizations gain legitimacy (Martens, Jennings, & Jennings, 2007; Zimmerman & Zeitz, 2002). As Bitektine (2011: 165) noted, entrepreneurs often accomplish this task by 'presenting their innovation broadly enough to encompass existing knowledge and to invoke familiar cognitive categories.' Importantly, we separate the scenario of gaining legitimacy, via displaying consistency with familiar norms, from the scenario of institutional innovating, which involves a more radical attempt to shift and challenge such norms. We detail this latter scenario shortly.

We continue with the term *Maintaining*. Maintaining involves routinized attention to reinforcing stakeholders' sense that the organization continues to adhere to standards of appropriateness and as reflected in various types of criteria. There is very little research on how organizations actively maintain legitimacy because stability does not create much theoretical drama or require much active managerial intervention (Locke & Golden-Biddle, 1997). However, organizations that maintain legitimacy are commonly used in quantitative studies of legitimacy over time (Deephouse, 1996). Research on ethics and compliance programs also often consider processes of maintaining legitimacy, often in the context of decoupling (Weaver, Trevino, & Cochran, 1999). Indeed, MacLean and Behnam (2010) considered the dangers of decoupling compliance, suggesting that decoupling can lead to organizational misconduct and challenges from stakeholders.

The first new scenario that we propose is called *Challenged By*. This scenario brings to the foreground the existence and point of view of multiple stakeholders (recognizing heterogeneous sources) who may question legitimacy on multiple grounds (recognizing heterogeneous criteria). Thus, we refine the more generic term 'challenges' to legitimacy (Hirsch & Andrews, 1984) by recognizing that such challenges may be heterogeneous. In doing so, we formally link performance challenges to regulatory and pragmatic legitimacy and value challenges to moral legitimacy. Further, we specify a new type of challenge, challenges to meanings, which undermine the cultural-cognitive legitimacy of a subject.

By separating the Challenged By scenario from the Responding scenario (detailed below), we seek to call attention to the fact that challenges based on norms or values may take distinctly different forms and involve unique processes compared to challenges based on performance or pragmatic utility. As Tost (2011) highlighted in her model of the legitimacy judgment process, instrumental evaluations and reassessments are distinct from relational or moral evaluations and reassessments. Similarly, challenges by different stakeholders also take unique forms (e.g., regulatory challenges from the state versus challenges from aggravated stakeholders). Others studying reputation and other social evaluations have also recognized these distinctions in terms of multiple stakeholders making multiple evaluations using multiple criteria (e.g., Bundy & Pfarrer, 2015; Mishina, Block, & Mannor, 2012). Thus, we seek to recognize the multiplicity inherent in legitimacy challenges by recognizing them as a unique part of the legitimation process, separate from the responses used to manage these challenges.

We also propose the term *Responding* rather than Defending or Repairing. We assume that challenges to legitimacy are a form of institutional pressure to which an organization can respond, and possible responses vary on the reactive/proactive dimension (Oliver, 1991). In contrast, Suchman (1995: 597) stated that repairing 'generally represents a reactive response to an unforeseen crisis', and Ashforth and Gibbs (1990: 182, Table 1) summarized defending legitimacy as reactive. Much research focuses on how organizations respond to challenges to their legitimacy. For instance, Pavlovich, Sinha and Rodrigues (2016) found that moral legitimacy was especially important for the Fonterra–Sanlu international joint venture in the scandal about its milk in China. Sinha, Daellenbach and Bednarek (2015) examined the responses of Air New Zealand to the demands of diverse stakeholders during its acquisition of Ansett Australia. Useful approaches for managing legitimacy in the face of inconsistent criteria have been identified, such as decoupling (Boxenbaum &

Jonsson, Chapter 3 this Volume) and hybridization (Battilana, Besharov, & Mitzinneck, Chapter 5 this Volume). Finally, Lamin and Zaheer (2012) considered different forms of impression management and the effect on legitimacy for different evaluators, including Wall Street and Main Street audiences. They found that these audiences responded differently to different impression management tactics, highlighting the need to consider the challenge and the response as separate scenarios.

Overall, effective responses may depend less on conforming to any single set of expectations than on determining which sources care about which criteria and constructing a viable bundle of reassurances that satisfy enough sources on enough criteria enough of the time. Performance challenges, for example, may require reassurances of organizational efficacy in order to sustain regulatory and pragmatic legitimacy, whereas value challenges require reassurances of good character and social responsibility in order to sustain moral legitimacy. Finally, challenges to meaning may require reassurances of comprehensibility, such as sense-making (Weick, 2001) or narrative emplotment (Downing, 2005), to sustain cultural-cognitive legitimacy.

We call our second new scenario *Institutionally Innovating*. This scenario focuses on the strategic creation of new institutions, frequently by institutional entrepreneurs (DiMaggio, 1988; Hardy & Maguire, Chapter 10 this Volume). We separate this from gaining legitimacy because the actions required to theorize and create new institutional rules, norms, and meaning systems in the institutional environment are qualitatively different from the actions required to demonstrate the appropriateness of a new instance of an already familiar form within a stable institutional regime (Aldrich & Fiol, 1994; Garud, Jain, & Kumaraswamy, 2002; Lounsbury & Glynn, 2001; Rao, 1994; Strang & Meyer, 1993). For example, Greenwood, Suddaby and Hinings (2002) provided an early investigation of the process involved in institutional entrepreneurship. They induced a six-stage model of institutional change in highly professionalized fields. Moral and pragmatic legitimacies were theorized in stages four and five, and cognitive legitimacy occurred in stage six. Voronov, DeClerq and Hinings (2013) studied the wine industry in the Niagara peninsula for five years and found several different paths by which wineries de-legitimated prevailing wine-making practices that produced inexpensive wines and replaced them with new practices that adapted Old World techniques to the local context. Turcan and Fraser (2016) examined an international new venture in Moldova over an eleven-year period and developed a process model of new venture and new industry legitimacy in emerging markets.

Table 1.1 summarizes this discussion. It builds from Table 1 of Suchman (1995) using our revised definition of legitimacy, our types of criteria, and our expanded view of scenarios.

Given these scenarios, what types of tools do organizations typically use to manage legitimacy? Ashforth and Gibbs (1990) highlighted two basic types of legitimacy work and a total of ten categories of action. Symbolic management, with six actions, represents the efforts and changes that transform 'the *meaning* of acts' (1990: 180; emphasis in original) to make them appear consistent with social values and expectations. Substantive management, with four actions, represents the 'real, material changes in organizational goals, structures, and processes or socially institutionalized practices' (1990: 178). We consider both in turn.

Most legitimation research has examined how texts, generally construed, have been used in debates on legitimacy by both organizations and stakeholders. The examination of texts is often classified as symbolic management broadly, and one specific approach is impression management. In an early example, Elsbach (1994) found that verbal accounts acknowledging failings or referring

Table 1.1 Managing organizational legitimacy over time

Concept \ Scenario	*Gaining*	*Maintaining*	*Challenged By*	*Responding*	*Institutionally Innovating*
Legitimacy	Demonstrate propriety	Remain acceptable or taken-for-granted	Challenges of appropriateness	Demonstrate appropriateness	Create new definitions of propriety
Regulatory legitimacy	Apply and meet standards	Satisfy routine monitoring	Performance challenges	Verify performance *vis-à-vis* standards	Change regulations
Pragmatic legitimacy	Demonstrate adequate performance	Avoid poor performance	Performance challenges	Affirm adequate performance	Change performance criteria
Moral legitimacy	Show fit with social values	Don't violate social values	Value challenges	Affirm fit with social values	Change social values
Cultural-cognitive legitimacy	Conform to meaning systems	Don't violate meaning systems	Meaning challenges	Affirm fit with meaning systems	Change meaning systems

to the institutional environment are superior to accounts denying responsibility or referring to the technical environment. Lamin and Zaheer (2012) examined how organizations use text-based response strategies to defend themselves in the wake of negative events, specifically accusations of sweatshop labour. They found that highly defensive strategies hindered the recovery of legitimacy with the general public as measured by media reports. A recent impression management study by van Halderen, Bhatt, Berens, Brown, & van Riel (2016) examined the tactics used by BP and ExxonMobil to maintain corporate environmental legitimacy in the context of the grand challenge of climate change (Ferraro, Etzion, & Gehman, 2015; Whiteman, Hope, & Wadhams, 2013). Research in the field of public relations and communication has also considered the interplay of symbolic management and legitimacy (cf. Sellnow & Seeger, 2013).

Another approach to studying texts is discourse analysis, which includes individual speech acts ('little d' discourse) and hegemonic meaning systems ('Big D' discourse) (Alvesson & Karreman, 2000; Gee, 2011; Phillips, Lawrence, & Hardy, 2004). For instance, Suddaby and Greenwood (2005) examined the discursive struggle between proponents and opponents of multidisciplinary partnerships in professional services. Vaara, Tienari and Laurila (2006) identified five 'discursive legitimation' strategies: normalization, authorization, rationalization, moralization and narrativization. Joutsenvirta (2012) identified five legitimation strategies regarding executive pay at a Finnish energy company using critical discourse analysis of media texts.

Overall, researchers have applied many different approaches to studying texts, including: rhetoric, both old and new (Erkama & Vaara, 2010; Green, 2004; Harmon, Green, & Goodnight, 2015; Sillince & Brown, 2009); narrative analysis (Brown, 1998; Golant & Sillince, 2007); discourse analysis, sometimes critical (Phillips et al., 2004; Vaara & Tienari, 2002); and framing (Benford & Snow, 2000; Cornelissen, Holt, & Zundel, 2011). These approaches and their methods typically remain in disciplinary silos with different assumptions of agency, level of analysis, etc., but empirically each typically connects a set of texts to legitimacy.

The prevalence of research on legitimation by words is hardly surprising, given the prevalence of textual data sources; however, legitimation by substantive actions, such as role performance and isomorphism, is arguably more important (Ashforth & Gibbs, 1990). One common form of substantive legitimacy management involves securing regulatory approvals, such as for new pharmaceuticals and restaurants. Rao (1994) demonstrated how the ability of early automobiles to complete and win endurance contests built legitimacy for the winning companies and the auto industry as a whole. These accomplishments demonstrate pragmatic legitimacy and are communicated to others in the social system. Deephouse (1996) showed that both isomorphism and financial performance increased normative and regulatory legitimacy within a population of competing commercial banks. Westphal, Gulati and Shortell (1997) found that conformity in TQM practices enhanced the legitimacy of hospitals. Similarly, corporate social responsibility (CSR) has been used as a tool to gain legitimacy (Beddewela & Fairbrass, 2016). Individuals and organizations have gained legitimacy using ingenious actions, often unconventional ones, in places like Silicon Valley and Southwestern Ontario (Kannan-Narasimhan, 2014; Walker et al., 2014). Divestment by companies from the global arms industry is another substantive example of how companies responded to legitimacy challenges (Durand & Vergne, 2015).

Finally, we recognize that managing legitimacy also depends on the type of organization in question. Early empirical work focused on schools and public sector organizations (Hannigan & Kueneman, 1977; Kamens, 1977; Meyer & Rowan, 1977; Rowan, 1982), but scholars later applied legitimacy to non-profits, businesses, hospitals, etc. (Carroll & Hannan, 1989; Deephouse, 1996; Ruef & Scott, 1998; Singh et al., 1986). There are marked differences between organizations in different societal sectors in terms of the sources who evaluate legitimacy, the criteria used, and the outcomes that result.

Within a societal sector, the specific organizational population is also important. Following Hannan and Freeman (1977: 935–936), an organizational population consists of all organizations within a boundary sharing an organizational form; organizational form is 'a blueprint for organizational action', including formal structure, patterns of action, and the normative order recognized by organizational members and the relevant societal sector. Thus, within the financial sector, non-profit, member-owned credit unions and for-profit, investor-owned banks have different legitimacy processes involving different stakeholders (Barron, 1998; Haveman & Rao, 1997). And as implied above in our discussion of entrepreneurs gaining legitimacy, the stage of the organization in its life cycle is also important. Thus, there are distinct differences between new organizations and established organizations (Aldrich & Fiol, 1994; Fisher et al., 2016) and between established organizations and organizations encountering the liabilities of senescence (Barron, West, & Hannan, 1994).

CONCLUSION: WHERE DO WE GO FROM HERE?

Conceptual clarity has been a central concern of the social sciences for decades (Dubin, 1976; Kaplan, 1964; Osigweh, 1989; Suddaby, 2010). Our review has found considerable convergence in the last twenty years around the definition of legitimacy proposed by Suchman (1995). However, we wonder if such convergence is becoming formulaic and limiting the development of the legitimacy concept in the context of other social evaluations like status and reputation (Deephouse & Suchman, 2008) – concepts should evolve as they are used and juxtaposed with other concepts in the course of research (Kaplan, 1964; Wright, 1985). Thus, we applaud the many efforts to distinguish different social evaluations and the increased attention to sources of legitimacy at different levels and from different disciplines, ranging from individuals (Bitektine, 2011; Tost, 2011) in management to societal systems in sociology (Meyer & Rowan, 1977).

In this context, we have continued the work of Deephouse and Suchman (2008) in refining the legitimacy concept and making recommendations for future research. We first focused the definition on the concept of appropriateness and then offered four basic states of legitimacy: accepted, proper, debated, and illegitimate. We also advocated strongly for more in-depth research on the variety of sources and the variety of criteria in play for different types of organizations. We then refined the conceptualization of different legitimation scenarios (Ashforth & Gibbs, 1990; Suchman, 1995) by integrating them with challenges to legitimacy (Hirsch & Andrews, 1984) and by specifying institutional innovation as a separate scenario.

Before closing, we offer several recommendations for future research. First, in the prior section we listed many approaches to studying texts as part of symbolic legitimation (e.g., rhetoric, impression management, discourse analysis, etc.), and each of them has a large theoretical and methodological tradition. Perhaps our most ambitious recommendation is for future research to critically review these different approaches to verbal legitimation tactics with the goal of integrating and consolidating them in order to create cumulative knowledge rather than retaining theoretical autonomy and novelty (Barley, 2016). For instance, the same set of texts should be examined from multiple approaches (Van de Ven, 2007) – perhaps by a collaborative team representing several traditions, as demonstrated by the collaboration of Erez and Latham in goal-setting theory (Latham, Erez, & Locke, 1988). Organizational institutionalists could take inspiration from research in communication, where the *Journal of Communication* published a special issue comparing three theories of media effects: framing, agenda-setting and priming (Scheufele & Tewksbury, 2007). Bedeian (2004) observed that many so-called novel theories overlook long histories of research both within and outside of management theory. The disciplines of communication, political science and public relations also have a long tradition of research on convincing by word, such as by Lippmann, Lasswell and others on propaganda, 'the management of collective attitudes by manipulation of significant symbols' (Lasswell, 1927: 627; Lasswell, Leites, & Associates, 1965; Lippmann, 1922), especially during the critical period of World War II. These fields have much to offer organizational scholars who wish to understand similar activities in other spheres.

Our second recommendation also considers integrating two research streams that have strong theoretical and methodological traditions: 'substantive management' and 'symbolic management' (Ashforth & Gibbs, 1990). While a small number of studies have combined the two (cf. Pfarrer Decelles, Smith, & Taylor, 2008; Zavyalova, Pfarrer, Reger & Shapiro, 2012), most studies focus only on one or the other. This has created a substantial gap in our knowledge, and we strongly encourage future scholars to consider how symbolic and substantive efforts interact with one another to influence legitimacy judgments. Indeed, many have criticized the symbolic approach, suggesting it acts as a form of deception or distraction from substantive issues of legitimacy (cf. Bundy & Pfarrer, 2015). However, we see value in both approaches, particularly when considered in combination. For example, symbolic management in the form of apologies is likely best received when combined with substantive efforts at repentance and restitution (Pfarrer et al., 2008). Moreover, we observe that some substantive actions also have symbolic impact, such as Johnson & Johnson's speedy recall of all Tylenol in 1982. However, and particularly within empirical research, we see only limited attempts to consider this combined management approach.

Third, there are several emerging empirical settings that should be fertile ground for growing research on legitimacy. Although the nation-state has historically been central to legitimacy, substitutes for state regulation have emerged, such as transnational governance (Djelic & Sahlin-Andersson, 2006; Haack et al., 2014; Höllerer, Walgenbach, & Drori, Chapter 8 this Volume; Scott, Chapter 33 this Volume) and private self-regulation (Bernstein & Cashore, 2007; Cashore, Auld, & Newsom, 2004; Prakash & Potoski, 2006). These new governance mechanisms are worthy of further study.

Future research could also examine how the major changes in digital technology affect legitimation. Many new organizations and practices have emerged, such as AirBnB, BitCoin, and Uber, and the legitimation efforts of these 'new economy' organizations have been hotly contested. These could be valuable settings to study; for example, Vergne has recently established a research center to study crypto-currencies (cf., Dodgson, Gann, Wladawsky-Berger, Sultan, & George, 2015). However, research should not forget the early work on ACT UP and Earth First! (Elsbach & Sutton, 1992) in showing how pragmatic legitimacy with certain legitimacy sources preceded the validation by the media, government regulators, and the judiciary during periods of institutional change when subjects are gaining legitimacy (Bitektine & Haack, 2015; Suchman, 1995). Digital technology is also giving sources new ways to influence legitimacy (Castelló et al., 2016). The importance of social media for legitimation is also clearly worthy of further work.

Two other empirical settings may also prove fertile for advancing legitimacy research. Much past research has used differences among the 50 United States to examine legitimacy and diffusion (Tolbert & Zucker, 1983). Currently under consideration are legalized marijuana sales and doctor-assisted suicide. These topics may be useful places to develop and replicate research on legitimacy. Finally, natural disasters, epidemics and wars generate large-scale crises that require multi-sectoral, transnational responses, and these may increase if anthropogenic global warming (AGW) continues as predicted by 97% of scientific reports in 1991–2011 taking a position on AGW (Cook et al., 2013; Cook et al., 2016). These responses will need to develop legitimacy in order to succeed (Christensen, Lægreid, & Rykkja, 2016).

Our review also has implications for the research methods used to study legitimacy. Given the bounded nature of legitimacy, limited dependent variable models may be more appropriate for statistical hypothesis testing. For example, Deephouse (1996) used censored regression (Tobit) to test a variable ranging from no challenging media reports to all challenging media reports and logistic regression to test categorical regulatory ratings. There is also renewed interest in experimental research. For example, in 2012 Bitektine and Haack started a series of workshops about using experimental methods in institutional theory, first at the Academy of Management annual meeting and then at the European Group for Organization Studies colloquium. Experimental studies of legitimacy have now appeared in many journals, such as Neto and Mullet's (2014) study of the legitimacy of executive pay among Portuguese citizens, and Weisburd, Hinkle, Famega and Ready's (2011) study of the legitimacy of policing. There is also much experimental research about ethical and moral judgments that are fundamental components of moral legitimacy (Cullen, Parboteeah, & Hoegl, 2004; Moore & Gino, 2013; Tyler, 2006). Such experimental studies improve our understanding of the microfoundations of legitimacy, and we expect and hope to see many more in the coming years.

From research methods we turn to research designs, and we recommend that researchers be more ambitious! More than two decades after Suchman's 1995 review of legitimacy, we still find, as he concluded then, that 'most treatments cover only a limited aspect' (1995: 571) of this complex but crucial subject. There are specific combinations of sources and criteria that apply to specific types of organizations under specific circumstances. Most empirical research, be it qualitative or quantitative, examines only one or at most two combinations (e.g., Wall Street and Main Street, in Lamin & Zaheer, 2012; Niagara wineries, in Voronov et al., 2013). There are some exemplary efforts to capture the complexity of legitimacy in the context of an evolving institutional field, such as Scott et al.'s (2000) examination of healthcare organizations and Wedlin's (2006) examination of European business schools. However, these works are books. The advancement of legitimacy research is being slowed by the norms of business schools in which many legitimacy researchers now work. Rewards at business schools clearly favor journal publications over longer works, leading to what Greenwood (2016) called 'salami slicing' research that impedes the development of comprehensive explanations for phenomena that are too complex to be explicated in the space of 30–40 pages. Hinings (2006) has advocated the pursuit of ambitious, large-scale research programs, to reach new heights in our understanding of complex organizational phenomena. Legitimacy is clearly one such complex phenomenon that would benefit from a large-scale collaborative research program involving the integrated efforts of many people over many years. Can such concerted endeavors become legitimate again?

Notes

1 As of June 15, 2016, this is the second most cited paper in *Academy of Management Review*.

2 We leave aside, for now, the question of how actively any given regulator actually assesses the propriety of any given target organization. In practice, it is certainly possible that some prominent and reputable organizations receive only pro forma regulatory scrutiny, making even the regulatory imprimatur more a matter of taken-for-granted acceptance than of carefully assessed propriety.

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2

Organizational Fields: Past, Present and Future

Melissa Wooten and Andrew J. Hoffman

INTRODUCTION

The term 'institutional theory' covers a broad body of literature that has grown in prominence and popularity over the past two decades. But, consistency in defining the bounds of this activity has not always been easy. The lament of DiMaggio and Powell in 1991 still holds true today: 'it is often easier to gain agreement about what it is *not* than about what it *is*' (1991: 1). There are a great number of issues that have and continue to remain divisive within this literature and among related literatures that apply institutional arguments (i.e., economics, political science, and history). What these literatures have in common, however, is an underlying skepticism towards atomistic accounts of social processes, relying instead on a conviction that institutional arrangements and social processes matter in the formulation of organizational action (DiMaggio and Powell, 1991).

At its core, the literature looks to the source of action as existing exogenous to the actor. More than merely suggesting that action is a reaction to the pressures of the external environment, institutional theory asks questions about how social choices are shaped, mediated and channeled by the institutional environment. Organizational action becomes a reflection of the perspectives defined by the group of members that comprise the institutional environment; out of which emerge the regulative, normative, and cultural-cognitive systems that provide meaning for organizations (Scott, 1995, 2001). Action is not a choice among unlimited possibilities but rather among a narrowly defined set of legitimate options. As an organization becomes more profoundly aware of its dependence on this external environment, its very conception of itself changes, with consequences on many levels. As this happens, Selznick states, 'institutionalization has set in' (1957: 7). Hence, institutionalization represents both a process and an outcome (DiMaggio, 1988).

While not highly emphasized in early institutional analyses (i.e., Selznick, 1949, 1957), the central construct of neo-institutional theory has been the *organizational field* (Scott, 1991). Strictly speaking, the field is 'a community of organizations that partakes of a common meaning system and whose participants interact more frequently and fatefully with one another than with actors outside the field' (Scott, 1995: 56). It may include constituents such as the government, critical exchange partners, sources of funding, professional and trade associations, special interest groups, and the general public – any constituent that imposes a coercive, normative or mimetic influence on the organization (DiMaggio and Powell, 1991; Scott, 1991). But the concept of the organizational field encompasses much more than simply a discrete list of constituents; and the ways in which the institutional literature has sought to capture this complexity has evolved over the past decades, and continues to evolve. In this chapter, we present this evolution, discussing the past, present and future of this important construct. We illustrate its early conceptualization and present its progression in a way that invites scholars to both consider their work within this historical trajectory and contribute to its further development. In the first edition of the handbook we concluded the chapter with our thoughts on promising avenues for future research within the organizational field domain. We incorporate recent developments that fit within our calls for future research. Despite these advancements, the calls for future research remain as relevant now as they were then and we expand them. This provides an opportunity to consider the important ways in which the organizational fields literature has moved forward and the areas in which progress has yet to come.

ORGANIZATIONAL FIELDS: EARLY INCARNATIONS

For early neo-institutional theory, the central unit of analysis was variously referred to as the institutional sphere (Fligstein, 1990), institutional field (Meyer and Rowan, 1977; DiMaggio and Powell, 1991), societal sector (Scott and Meyer, 1992), and institutional environment (Orru et al., 1991; DiMaggio and Powell, 1991). But the term *organizational field* (Scott, 1991) has become the accepted term for the constellation of actors that comprise this central organizing unit. Like Bourdieu's field (1990, 1993), where an agent's actions within the political, economic, or cultural arena were structured by a network of social relations, institutional theorists conceptualized the organizational field as the domain where an organization's actions were structured by the network of relationships within which it was embedded (Warren, 1967). Warren used the example of community organizations such as banks, welfare organizations, churches, businesses, and boards of education, working in conjunction with one another to elucidate the importance of taking the 'inter-organizational' field as a unit of analysis. By focusing attention on this level of analysis, researchers could better understand the decision-making processes among distinct organizations that, while having dissimilar goals, felt it necessary and advantageous to interact with one another to accomplish a given task.

As studies of inter-organizational relations evolved, scholars broadened the field to include organizations that were not necessarily bound by geography or goals, but instead made up a recognized area of institutional life. These could include organizations that produced similar services or products, suppliers, resource and product consumers, regulatory agencies, and others (DiMaggio and Powell, 1983). What these organizations had in common was that they comprised a community of organizations that partook of a common meaning system and whose participants interacted more frequently and fatefully with one another than with other organizations (Scott, 1995). Such evolving definitions focused on the organizational field as a means to understand the impact of rationalization on organizations.

The behavior of organizations within fields was said to be guided by *institutions*: the cultural-cognitive, normative and regulative structures that provided stability and collective meaning to social behavior (Scott, 1995). These structures acted as ‘social facts’ that organizational actors took into account when determining appropriate action (Zucker, 1977; Meyer and Rowan, 1977). The transmission of social facts from one set of actors to another caused them to take on a rule-like and taken-for-granted status and thus become institutionalized (Zucker, 1977). Once a social fact had become institutionalized, it provided actors with templates for action which created unified or monolithic responses to uncertainty that led to *isomorphism* – a commonality in form and function (DiMaggio and Powell, 1983). The central notions of organizational field research focused on understanding the processes that guided the behavior of field members in unconscious ways.

Meyer and Rowan (1977) suggested that the incorporation of elements (i.e., structures, practices, procedures, etc.) from the institutional environment imbued an organization with *legitimacy*. Thus, for example, ‘administrators and politicians champion programs that are established but not implemented; managers gather information assiduously, but fail to analyze it; experts are hired not for advice but to signal legitimacy’ (DiMaggio and Powell, 1991: 3). An organization that appeared legitimate increased its prospects for survival because constituents would not question the organization’s intent and purpose. As increasing numbers of organizations incorporated common institutional elements, most (if not all) organizations at the field level became homogeneous in structure, culture and output (DiMaggio and Powell, 1983). Much of the research using this notion of the organizational field centered on the premise that organizations sought survival and legitimacy as opposed to efficiency (Orru et al., 1991).

For example, Fligstein (1990) depicted the industry-wide transformation of executive leadership in America as resulting from shifting pressures from the government. DiMaggio and Powell (1991) cited the causes for the accepted form of art museums in American cities in the 1920s and 1930s as the result of efforts by museum workers to define a profession through conformity to demands from foundations, particularly the Carnegie Foundation. Leblebici et al. (1991) argued that the generation and acceptance of practices and technologies within the American radio broadcasting industry were the result of the actions of influential industrial actors. And Tolbert and Zucker (1983) looked to the spread of civil service reforms at the turn of the twentieth century as resulting from the pressure of legal requirements or the examples set by fellow cities.

Early field-level analyses allowed some degree of diversity in action, based on primacy in institutional adoption. For example, first adopters within a community of organizations tended to take action out of concerns for efficiency. But, later adoptions followed a different diffusion process with adoption of structures and practices designed to mimic the behavior of prior adopters. Tolbert and Zucker’s (1983) study of the adoption of civil reforms by cities provides an exemplar of this phenomenon. Their study found that characteristics such as the percentage of foreign-born residents and the size of the city influenced the adoption of civil service reforms thought to improve city functioning in the early phases of the municipal reform movement. However, over time the city demographics no longer influenced the adoption of such reforms. The authors concluded that in the later periods, civil service reforms had taken on a legitimated status and, as such, became viewed as a necessary signal of a properly functioning municipal system.

Much work in the organizational field arena sought to identify institutionalization by contrasting the adoption of practices for rational or institutional motives, and by detecting how the quest for collective rationality led to homogeneity within field-level populations. Of particular interest was the *role of the state* and the influence of the legal/regulatory environment in leading organizations to collectively develop appropriate responses that ultimately led to uniformity in organizational form or structure.

For instance, Edelman (1992) studied organizations subject to affirmative action and equal employment opportunity legislation. This legislation required organizations to incorporate members from historically underrepresented groups into their hierarchy. Yet, the ambiguity of the legislation did not specify how an organization should demonstrate their compliance (i.e., how an organization could demonstrate that it had indeed incorporated women, racial/ethnic, and religious minorities into its operations). In response to this uncertainty, field-level actors pushed for the creation of Affirmative Action and Equal Employment Opportunity (AA/EEO) offices as a way to demonstrate their compliance with the new regulations. As other field members – namely the government – took the establishment of an AA/EEO office as evidence of compliance, the adoption of these offices became widespread. A similar process also led to the implementation of grievance systems (Sutton and Dobbin, 1996), internal job markets (Dobbin et al., 1993) and maternity leave policies (Kelly and Dobbin, 1999).

After focusing on the mimetic and regulative forces that led to adoption and isomorphism within an organizational field, institutional research took the so-called 'cognitive turn' (Meindl et al., 1994; Lindenberg, 1998). Work within the organizational field domain turned towards understanding the *cultural and cognitive processes* that guided field members' behavior. Researchers sought to uncover the material practices and symbolic constructions that served as organizing templates for field members (Friedland and Alford, 1991). These field-level 'logics' provided organizations with schemas to guide their behavior.

For example, Marquis (2003) highlighted the cultural-cognitive templates that guided the construction of inter-corporate network ties. Firms located in communities that began before the era of auto and air travel had more locally based director connections than firms located in communities that began after auto and air travel became prevalent. Moreover, this logic of locally based network ties continued to guide the behavior of the firms in older communities long after auto and air travel became prevalent.

In other work, Thornton (2001) studied the evolution of logics within the higher education publishing industry and found that acquisition patterns varied according to which logic dominated the industry. When a market-logic dominated the industry, publishers that followed an imprint strategy and those with distribution contracts faced a greater risk of acquisition than other publishers. Yet, when an editorial-logic dominated the industry, imprint and distribution strategies had no significant effect on a publisher's likelihood of being acquired, suggesting that as the field-level logic changed, the acquisition behavior of the organizations within the field changed as well.

While the Marquis and Thornton studies highlighted the temporal dimension of cognitive processes, another study, by Davis and Greve (1997), highlighted the corresponding spatial dimensions by noting that cognitive perceptions regarding the legitimacy of a corporate practice varied based on the social and geographic distance among managers and board of director members. The implementation of the golden parachute, a practice that provided protection to top managers in the event of a hostile takeover, spread among firms within the same region, whereas the adoption of a poison pill, a practice that made hostile takeover prohibitively expensive, spread among firms that shared a board of director tie. Their investigation suggested that the proximity of actors affected the diffusion of firm behavior within a field.

Throughout this early stream of research, the overarching emphasis on similarity remained a constant. The organizational field was conceived as predominantly static in its configuration, unitary in its makeup and formed around common technologies, industries, or discrete network ties (DiMaggio, 1995; Greenwood and Hinings, 1996). Regulative, normative and cognitive influences bred homogeneity in the aggregate. But this emphasis within the literature soon became the subject of criticism.

ORGANIZATIONAL FIELDS: PRESENT CONFIGURATIONS

Beginning in the late 1990s, scholars argued that the institutional literature placed too much emphasis on the homogeneity of organizational populations and not the processes that created this outcome (Hirsch, 1997). This focus on isomorphism as the 'master hypothesis' (Hoffman and Ventresca, 2002) was seen by many as an unfortunate outcome of early theory development and the misrecognized empirical insights possible from institutional analyses. Critics contended that it facilitated a popular misconception of the theory as embodying stability and inertia as its defining characteristics. Homogeneity of form and practice was treated as evidence of institutional theories of organization (Kraatz and Zajac, 1996). DiMaggio, reflecting on 'what theory is not' (1995) suggested that core institutional claims in his oft-cited 1983 paper (DiMaggio and Powell, 1983) suffered asymmetric attention:

> Somewhat to my surprise papers cited our paper as support for the proposition that all organizations become like all others, regardless of field. Somehow the network argument that we authors regarded as so central had been deleted in the paper's reception. Within a few more years, the paper had turned into a kind of ritual citation, affirming the view that, well, organizations are kind of wacky, and (despite the presence of 'collective rationality' in the paper's subtitle) people are never rational. (DiMaggio, 1995: 395)

Scholars called for efforts to 'end the family quarrel' between old and new institutionalism (Hirsch and Lounsbury, 1997) and to bring agency, politics and change 'back' into the institutional literature (Perrow, 1986; DiMaggio, 1988; Brint and Karabel, 1991; DiMaggio, 1995; Greenwood and Hinings, 1996; Hirsch and Lounsbury, 1997), resurrecting it from the earlier traditions of macro-organizational literature (i.e. Selznick, 1949). In all, these criticisms were aimed at redressing the over-socialized view (Granovetter, 1985) that depicted recipients of field-level influence as a homogeneous collection of organizational actors, each behaving according to a social script designed by the social environment.

In response, emergent studies examined organizational 'field members' actions' in light of their institutional contexts (i.e., Holm, 1995; Kraatz and Zajac, 1996; Greenwood and Hinings, 1996). This new line of reasoning attended to several key aspects of field-level processes: moving beyond stability and inertia to introduce notions of change within the field; considering the role of organizational self-interests and agency within that context (Perrow, 1986; Covaleski and Dirsmith, 1988; DiMaggio, 1988) and advancing the view that some firms can respond strategically to institutional pressures (Oliver, 1991) to become what might be called institutional entrepreneurs (DiMaggio, 1988; Zucker, 1988; Fligstein, 1997; Lawrence, 1999).

The first target for reconfiguring conceptions of the field addressed the notion of *change*. As observers of the social world, scholars knew that change happened even within highly institutionalized contexts. Yet prevailing theory did not handle such occurrences adequately, in part because of the way in which scholars defined and operationalized organizational fields. Where previous definitions of the field centered around organizations with a common technology or market (i.e., SIC classification), the field began to be seen as forming around the issues that became important to the interests and objectives of a specific collective of organizations (Hoffman, 1999). Issues defined what the field was, drawing linkages that may not have been previously present.

Field-configuring events (Lampel and Meyer, 2008) provide stakeholders with venues to discuss, define and debate the issues at stake in a field's emergence and evolution. Though temporary in nature, field-configuring events offer participants the opportunity to recognize a shared interest and to cultivate the shared understandings essential to field formation and perpetuation. This literature also provides useful imagery and methodological tools for scholars. No longer an ephemeral space within our scholarly imagination, a field is a place where interested parties meet, such as at conferences or award ceremonies (Lampel and Meyer, 2008). By paying attention to such events, a researcher can easily witness a field in action.

These clarifications led to a conception of the organizational field that would bring together various field constituents with incongruent purposes, not common technologies or industries that assured some commonality of interests. For example, Bertels, Hoffman and DeJordy (2014) explore the heterogeneous nature of field-level membership, developing a method to identify configurations of social position, identity and work that result in a distinct set of challenger roles. Rather than locales of isomorphic dialogue, the field became *contested*; a 'field of struggles' (Bourdieu and Wacquant, 1992) where constituents engaged in 'a war or, if one prefers, a distribution of the specific capital which, accumulated in the course of previous wars, orients future strategies' (Calhoun, 1993: 86). Organizations engage in field-level conflict, out of which they gain skills and capital for future conflict.

Toward this end, Fligstein and McAdam (2012) urged scholars to conceptualize fields as spaces of *strategic action* wherein actors relate to one another out of shared, though not necessarily consensual, understandings about the field. According to these authors, incumbents and challengers constantly vie for advantage and membership shifts depending on the issues at stake. In these settings, socially skilled actors seek to solidify their position by reproducing the status quo or acting as brokers between disjointed groups.

Thus, the organizational field became seen as *dynamic* and capable of moving towards something other than isomorphism; evolving both through the entry or exit of particular organizations or populations (Barnett and Carroll, 1993; Hoffman, 1999; Scott et al., 2000) and through an alteration of the interaction patterns and power balances among them (Brint and Karabel, 1991; Greenwood and Hinings, 1996). Others added that fields remained conflicted even when institutional norms were apparently 'settled' because powerful actors were continually working to maintain their legitimacy (Lounsbury and Glynn, 2001). With the field defined more in terms of contestation and debate, institutions were seen more as 'the products of human design, [and] the outcomes of purposive action by instrumentally oriented individuals' (DiMaggio and Powell, 1991: 8), such that we may expect to find more opportunity for deviance and *agency* among field members (Hirsch, 1997).

Several authors developed theoretical accounts of the sources of agency, change and variety within institutions and organizational fields. Oliver (1991) suggested that organizations crafted strategic responses and engaged in a multitude of tactics when confronted with the pressures presented by the institutional environment. She argued that an organization's willingness and ability to conform to institutional pressures depended on why these pressures were being exerted (cause), who was exerting them (constituents), what these pressures were (content), how or by what means they were exerted (control) and where they occurred (context). From this perspective, all organizations within a field did not march quietly down the path towards homogeneity.

Greenwood and Hinings (1996) pushed further to combine thoughts from both the old and new institutionalism literatures by developing a framework for understanding how the internal interests and conflicts of an organization's members influenced the organization's response to institutional pressures.

Seo and Creed (2002) highlighted an important interest that served as an impetus for change: field members' need to reconcile contradictory institutional arrangements. According to the authors, organizational fields were connected to and embedded within other and conflicting institutional systems. As field members tried to reconcile these differences by bringing the various institutional rules in line with their needs and interests, the fields inevitably changed.

Schneiberg (2007) has suggested that change and variation comes from within fields. If fields are indeed places where struggle and contestation take place, then inevitably these struggles leave behind organizational practices and forms that suffer defeat. These ideas may lay dormant for a time, but field members often resurrect these expired forms of organization and practice, which in turn leads to increased variation within the field.

Likewise, Quirke (2013) rooted the sources of variation within the field itself. Her investigation of private schools in Toronto, Canada highlighted the 'patchiness' of organizational fields. Not all organizations face the same pressure to conform. Fields that have weak oversight mechanisms, multiple logics, or constantly shifting constituent demands create a context in which organizations have more freedom. As a consequence, marginal or periphery field members can more easily sidestep isomorphic pressures and instead make alternate claims for legitimacy that rely on niche-status and uniqueness within the institutional landscape.

These theoretical accounts of change were used to develop new empirical insights. Emergent research looked not at homogeneity but at variation and change among organizations within a field as signs of institutional processes. For instance, by investigating the decline of the conglomerate organizational form among the 500 largest American industrial firms, Davis, Diekmann and Tinsley (1994) studied the abandonment of a well-institutionalized practice among organizations within a field rather than the adoption of such practices. Lounsbury (2001) provided an explanation of the institutional factors that influenced variation in the adoption of two recycling practices among US colleges and universities. The study highlighted the internal organizational dynamics of colleges that chose to incorporate recycling duties into current waste management policies in relation to those colleges that chose to create a new recycling administrator position.

This newfound emphasis on institutional change culminated with the publication of a special issue of the *Academy of Management Journal*, with each article in this volume seeking to interpret change and agency within an organizational field through the lens of institutional theory (Dacin et al., 2002).

But despite the insights that this new area of research brought to bear on organizational fields, early notions which implied that individual organizations can respond strategically to field pressures (Oliver, 1991) or may strategically influence the process of field change (Lawrence, 1999) treated the organization and the field as separate and distinct. The firm 'responded' to pressures by either adapting to or resisting those pressures. Critics argued that the interaction between firm and field was not unidirectional nor was it free from interpretation and *filtering processes*. This introduced concerns for sense-making, issue interpretation, selective attention and cognitive framing among field members (Dutton and Dukerich, 1991; Scott, 1994; Hoffman and Ocasio, 2001; Hoffman and Ventresca, 2002). The demands of the field were not uniformly understood by all members. Organization-level dynamics caused field members to filter and alter environmental demands. Further, members transmitted their interests back towards the field. The process of interaction became recursive as the social structure of the field became both the 'medium and outcome of the reproduction of practices. Structure enters simultaneously into the constitution of social practices, and "exists" in the generating moments of this constitution' (Giddens, 1979).

Scott (1994) claimed that the essence of the field perspective was its ability to analyze the ways in which organizations enact their environment and are simultaneously enacted upon by the same environment. The work of Bansal and Penner (2002) illustrated this process by investigating the interpretive processes among four newspaper publishers. The authors highlighted the importance of regional networks in influencing the frames and enactment processes developed to address the recycled newsprint issue. They found that the way in which feasibility, importance and organizational responsibility for recycling were interpreted within these networks helped account for variation in organizational response to this issue. By linking theory and argument from cognitive strategy theory on issue interpretation to institutional analysis, the authors provided an explanation of heterogeneity in field-level behavior.

Other work focused on the interconnectedness of organizations and the field by analyzing the role of *institutional entrepreneurs* (DiMaggio, 1988; Fligstein, 1997; Lawrence, 1999) in shaping the discourse, norms and the structures that guide organizational action (Maguire et al., 2004). As in all field-level debates, certain organizations have the ability to influence the rules of the game (Fligstein, 1990). Yet, even powerful actors cannot simply impose new logics and norms on a field. At some level, the norms must be accepted by other actors Beckert, 1999). The actors that lobby for the acceptance of these new logics, norms and practices illustrate the work that institutional entrepreneurs engage in to create and build legitimacy.

Suddaby and Greenwood's (2005) study of the creation of multidisciplinary practices provided insight into this process. The establishment of practices that included both accountants and lawyers threatened the previously agreed upon boundaries between the accounting and legal professions. Thus, creating a firm that included both lawyers and accountants within the same hierarchy required institutional entrepreneurs to provide a legitimating account for this organizational form. To build legitimacy entrepreneurs developed rhetorical strategies that served two purposes. First, they included institutional vocabularies that articulated the logic behind new organizational practices and forms. Second, these rhetorical strategies included language that accounted for the pace and necessity of change within the organizational field.

The attention to entrepreneurship and change within fields coalesced with the *institutional work* literature. First articulated by Lawrence and Suddaby (2006), studies of institutional work highlight the efforts of culturally competent actors as they attempt to create, maintain and disrupt institutions. Prior to the emergence of this literature, entrepreneurship was mostly investigated in connection with establishing or altering institutional rules and patterns. A key contribution of research in this area is its attention to the reality that entrepreneurial activities are required to maintain the social mechanisms that ensure compliance to institutional rules as well.

Others have taken the notion of the institutional entrepreneur further by acknowledging that institutional entrepreneurs do not act alone or in isolation. Individual agents form political networks and coalitions to act as 'important motors of institution-building, deinstitutionalization, and reinstitutionalization in organizational fields' (Rao et al., 2003: 796). This conception provided a bridge between institutional theory and *social movement* theory (Davis et al., 2005), focusing attention on the ability of social movements to give rise to new organizational fields and change the demography of existing organization fields (Rao et al., 2000).

Social movement scholars have long recognized the connection between their work and organizations (McCarthy and Zald, 1977; Strang and Soule, 1998; Campbell, 2005; Fligstein and McAdam, 2012). McCarthy and Zald (1977) incorporated concepts from organization theory to develop their resource mobilization perspective. According to this perspective, the availability and accumulation of resources served as an impetus for the formation of social movement organizations that bear a remarkable resemblance to other goal-directed, hierarchical organizations. Moreover, those social movement organizations with similar preferences for change constituted the social movement industry, a unit of analysis not unlike the organizational field. Organizational change agents became parts of these collective movements, using shared and accumulated resources and power to 'overcome historical inertia, undermine the entrenched power structures in the field or triumph over alternative projects of change' (Guillen, 2006: 43). These actions were often conducted in opposition to others in similarly configured collective movements (Zald and Useem, 1987; Meyer and Staggenborg, 1996).

Other work seeking to understand the bidirectional influence of organizations and fields built on the linkages between organizational fields, culture and societal institutions. In particular, researchers sought to explain how ideas and beliefs about organizational strategies and practice became standard and spread in highly structured fields of activity (Edelman, 1990; Guthrie and Roth, 1999; Washington and Ventresca, 2004). For example, Zilber's (2006) study highlighted the ways in which Israeli society, culture and fields are intertwined. High technology was mythologized as a tool enabling the creation of useful products, an area where gifted individuals excelled, and as a vehicle for national development and societal progress within the Israeli popular press. Each of these myths was found at the level of the organizational field as high technology companies incorporated elements of these myths in the job descriptions contained within employment advertisements. As a result, rationalizations of the benefits and purposes of high technology to Israeli society were incorporated within the employment activities of the high-technology organizational field.

In sum, the critiques of new institutional theory led to streams of field-level research that focused on change, variation and agency discussed above. But, while the past and present of organizational research differed from one another in terms of the outcome studied, they were connected by their conceptualization of fields as 'things' that produced outcomes. More recent critiques have suggested that the future of field research lies not in the further emphasis on outcomes but instead in conceptualizing fields as mechanisms (Hoffman and Ventresca, 2002; Davis and Marquis, 2005). This refocus allows for the specification of collective rationality and the possibility that fields serve as mechanisms for bringing about phenomena other than similarity (DiMaggio and Powell, 1983; Washington and Ventresca, 2004). We address these themes in the third section of this chapter.

ORGANIZATIONAL FIELDS: THE FUTURE

In the final section of this chapter we offer our thoughts on the future of organizational field research. We develop our arguments regarding future directions based on the critiques of past and present research as focusing on the outcomes of field membership as opposed to the processes that hold the members of a field together. Since the chapter's original publication, significant progress has been made. In particular, the literatures on field configuring events and institutional work speak directly to the concerns we raised regarding a lack of theorizing around the issues of field evolution and field-level activities.

While recognizing the strides made since this chapter's publication, we still need more scholarship to fully elaborate the utility of the *organizational field* as a conceptual and methodological construct. Given this, we center our concluding thoughts on the same themes as before. We continue to encourage those involved in organizational field research to focus on collective rationality within fields: how it is developed, which field members contribute to its development and maintenance, how it is transmitted to other actors, and how it changes over time. Furthermore, we take this as an opportunity to push scholars to use the organizational field perspective as a tool of analysis for meeting society's challenges in the twenty-first century.

Scott (2001) defined the field as a community of organizations that partake in a common meaning system and whose participants interact more frequently and fatefully with one another than with actors outside the field. DiMaggio and Powell (1983) defined the field as those organizations that in the aggregate represent a recognized area of institutional life. While both of these definitions treat the field as a collective of organizations, they also present an underlying notion that represents a future conception of the field; one where the field is a locale in which organizations relate to or involve themselves with one another. A definition that in some ways brings us back to the influence of Bourdieu – where a field is as much about the relationship between the actors as it is about the effect of the field on the actors.

To move away from the current focus on field outcomes and towards an understanding of why field-level interactions remain vital to organizations, fields must be seen, not as containers for the community of organizations, but instead as *relational spaces* that provide an organization with the opportunity to involve itself with other actors (Wooten, 2006; Emirbayer and Johnson, 2008). Fields are richly contextualized spaces where disparate organizations involve themselves with one another in an effort to develop collective understandings regarding matters that are consequential for organizational and field-level activities.

Moving beyond the notion of fields as being constructed around the physical proximity of actors (Warren, 1967) or issues (Hoffman, 1999), fields as relational spaces stresses the notion that organizations need to do nothing more than take note of one another to be considered part of the same field. This does not mean that actors formalize their relations via hierarchical arrangements or network ties (Djelic and Sahlin-Andersson, 2006). Instead, one actor takes note of another and through this process of referencing one another, actors bring a field into existence. Out of a relational notion of the field emerge several critical issues concerning formation, evolution, and boundaries.

- Why does one relational space with this set of actors form and not another? Why do disparate organizations and populations come together at the field level? How and why do fields form? What processes drive some organizations to interact more frequently and fatefully with one another than with other organizations, thus creating the boundaries of a field?

Research must highlight the organizational dynamics that lead actors to engage one another and start the field-level structuring or restructuring process. It is not evident, for example, why petrochemical companies would willingly engage environmental groups without understanding the dynamics of field-level engagement in field studies (i.e., Hoffman, 1999). Future research should investigate the dynamics that lead to field creation and the contextual factors that lead to one field form over another. For example, relations that form around a common technology, say coal production, are not likely to be similar to those relations that form around an issue such as environmental protection. Such differences will undoubtedly influence the character of the field (Stinchcombe, 1965) and the specification of collective rationality.

Entrance to or engagement within the field is often precipitated by disruptive events such as exogenous shocks that provide the impetus